BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Case 25-G-0073

May 2025

Prepared Redacted
Testimony of:

Staff Gas Reliability and
Supply Panel (SGRSP)

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George Coffin
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Specialist 1

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Q. Members of the Staff Gas Reliability and Supply Panel (the Panel or SGRSP) please state your names, employer, and business address.

A. Our names are Davide Maioriello, Lauren Mielke, George Coffin, Spencer Freer, David Trost, and Jack Hamant. We are employed by the New York State Department of Public Service, referred to as the Department. Our business address is Three Empire State Plaza, Albany, New York 12223, except Mr. Hamant's business address is 90 Church Street, 4th Floor, New York, New York 10007.

Q. Mr. Maioriello, please state your position at the Department.

A. I am a Utility Supervisor within the Gas System Planning and Reliability Section of the Office of Energy System Planning and Performance.

Q. Please summarize your educational and professional experience.

A. I attended Hudson Valley Community College and graduated with an Associate of Applied Science in Construction Technology degree. I continued my education at the State University of New York Institute of Technology and, in May 1999,

graduated with a Bachelor of Science in Civil Engineering Technology. From February 2000 to February 2003, I was employed by SPEC Consulting, LLC as a Project Engineer. My work involved project management and coordination, engineering, as well as various computer-aided design projects. From February 2003 to December 2005, I worked for the City of Albany Engineering Division where I was responsible for several tasks, including inspections of major roadway projects and other municipal construction projects. I also engaged in permit processing and utility work inspections. In December 2005, I joined the Department and since that time I have performed various engineering analyses of projects and associated capital budgets, operations and maintenance (O&M), expenses and programs, distribution system reliability needs, capacity and demand requirements, and review of various petitions and tariff filings of gas and electric utility companies in New York State.

Q. Please describe your duties in the Office of Energy System Planning and Performance.

A. My responsibilities within the office focus on the analysis of natural gas utility policy issues, including distribution system reliability and planning, capacity asset management, gas purchasing practices, gas system reliability, and issues related to the restructuring of the natural gas industry and use of natural gas in New York State.

Q. Have you previously provided testimony in a proceeding before the New York State Public Service Commission (Commission)?

A. Yes. I have provided testimony with respect to a number of issues, including non-pipeline alternatives (NPAs), capital expenditures, materials and supplies, depreciation rates, sales forecasting, revenue decoupling mechanisms, revenue allocation, rate design, lost and unaccounted for gas, capital expenditure reconciliation mechanisms, retail access issues, reliability forecasting and supply planning, peaking supply and capacity issues, design day and winter forecasting, reliability improvements, gas network enhancement and reporting requirements. I have

provided testimony in the following rate proceedings: Cases 22-G-0065 and 19-G-0066, regarding Consolidated Edison Company of New York, Inc.(Con Edison or the Company); Cases 05-G-1494 and 14-G-0494, regarding Orange and Rockland Utilities, Inc.; Cases 05-G-1635, 08-G-1392 and 15-G-0382, regarding St. Lawrence Gas Company, Inc.; Cases 06-G-1185, 16-G-0059, 19-G-0309, and 23-G-0225, regarding The Brooklyn Union Gas Company d/b/a National Grid NY; Cases 19-G-0309, 06-G-1186, 16-G-0058, 19-G-0310, and 23-G-0226, regarding KeySpan Gas East Corporation d/b/a National Grid; Cases 07-G-0141, 16-G-0257 and 23-G-0627, regarding National Fuel Gas Distribution Corporation; Cases 08-G-0609, 12-E-0201, 12-G-0202, 17-G-0239, and 20-G-0381, regarding Niagara Mohawk Power Corporation; Cases 09-G-0716 and 19-G-0379, regarding New York State Electric & Gas Corporation; Cases 19-G-0381 and 09-G-0718, regarding Rochester Gas and Electric Corporation; and Case 14-G-0319, regarding Central Hudson Gas & Electric Corporation.

Q. Ms. Mielke, please state your position at the Department.

A. I am a Utility Analyst Trainee, assigned to the Gas System Planning and Reliability section of the Office of Energy System Planning and Performance.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from Alfred University with a Bachelor of Fine Art in 2008. From 2008 through 2023 I worked within multiple industries including insurance and liability adjustments, food service, direct support, administrative support, retail, and stock market analysis. I began working at the Department in November 2023.

Q. Please describe your duties in the Office of Energy System Planning and Performance.

A. My duties within the Department include daily tracking of New York Mercantile Exchange for Natural Gas Trading, ongoing analysis of the Utility Thermal Energy Networks Pilot process and providing summaries of external stakeholder comments for the Gas Long Term Planning

Procedure in Case 20-G-0131. Additionally, I assisted in the review of the major gas utilities in the State, also referred to as local distribution companies, Winter Preparedness in Case 24-M-0205.

Q. Have you provided testimony in previous Commission proceedings?

A. Yes. I have provided testimony in the rate proceeding for National Fuel Gas Distribution Corporation, Case 23-G-0627, addressing the utility's purchase gas financial hedging program, issues related to meter charges, and environmental matters for local production wells. I also provided testimony in the rate proceeding for Corning Natural Gas Corporation, Case 24-G-0447, addressing the utility's capital budgeting process and investment plans, non-pipe alternatives, gas system improvements, renewable natural gas interconnections and related costs, and differentiated natural gas.

Q. Mr. Coffin, please state your position at the Department.

A. I am a Utility Engineering Specialist 1 in the Gas System Planning and Reliability Section of

the Office of Energy System Planning and Performance.

Q. Please state your educational background and professional experience.

A. I received a Bachelor of Science Degree in Mechanical Engineering from Rensselaer Polytechnic Institute in 2014. I began working at the Department in November of 2023. I previously worked at the Division of Criminal Justice Services where my primary duty pertained to the repair and certification of alcohol breath test equipment for local New York law enforcement agencies and Sherriff's Offices.

Q. Please describe your duties in the Office of Energy System Planning and Performance.

A. My duties within the office focus on the review and analysis of natural gas projects proposed by local distribution companies, analyzing gas related capital expenditures in rate cases, Utility Thermal Energy Networks Pilot planning and implementation in New York State, and providing summaries of external stakeholder comments for various Gas Long Term Planning matters.

Q. Have you previously testified in proceedings before the Commission?

A. Yes, I have previously submitted testimony in Case 24-G-0061 regarding Orange and Rockland Utilities, Inc., addressing the issues of farm taps and non-pipeline alternatives, and in Case 24-G-0462 regarding Central Hudson Gas & Electric Corporation, addressing the issues of non-pipe alternatives and pipeline capacity allocation amongst customer types.

Q. Mr. Freer, please state your position at the Department.

A. I am an Excelsior Service Fellow working in the Office of Energy System Planning and Performance.

Q. Please summarize your educational and professional experience.

A. I attended Binghamton University and graduated in May 2023 with a Bachelor of Arts in Philosophy, Politics, and Law. I continued my higher education at Binghamton University and graduated with a Master of Public Administration in May 2024. While completing my master's degree I worked for Binghamton University's

Residential Life program as a graduate assistant. After graduating in May 2024, I was the Director for the Town of Wappinger Summer Camp. I then began my current Excelsior Service Fellowship role in September 2024.

Q. Please describe your duties in the Office of Energy System Planning and Performance.

A. My responsibilities within the office focus on policy research, evaluation, and development, and thus far have worked on the topic areas of alternative fuels, such as Renewable Natural Gas, Differentiated Gas and Hydrogen, Leak Prone Pipe, Flexible Interconnections and Non-pipes alternatives. I also assist with process improvements across the Office of Energy System Planning and Performance.

Q. Have you previously provided testimony in a proceeding before the Commission?

A. No, I have not previously provided testimony in a proceeding before the Commission.

Q. Mr. Trost, please state your position at the Department.

A. I am a Utility Analyst Trainee, assigned to the Gas System Planning and Reliability section of

the Office of Energy System Planning and Performance.

Q. Please summarize your educational and professional experience.

A. I attended Binghamton University and graduated in December of 2023 with a Bachelor of Science in Economic Policy Analysis. In the summer of 2023, I worked for the New York State Bridge Authority as an Executive Intern. I began my current role as Utility Analyst Trainee in January 2025.

Q. Please describe your duties in the Office of Energy System Planning and Performance.

A. My responsibilities within the Department include the daily tracking of New York Mercantile Exchange Natural Gas futures and day-ahead prices, handling gas capital expenditures in rate cases, and reviewing utility yearly capital budget reports.

Q. Have you previously provided testimony in a proceeding before the Commission?

A. No, I have not previously provided testimony in a proceeding before the Commission.

Q. Mr. Hamant, please state your position at the Department.

A. I am employed by the Department as a Utility Engineering Specialist 1 in the Downstate Rates and Tariffs section of the Office of Rates and Tariffs.

Q. Please summarize your educational and professional experience.

A. I attended Union College and graduated in June of 2024 with a Bachelor of Science in Electrical Engineering. In the summer of 2023, I worked for New Jersey Transit as an Electrical Engineering Intern. I began my current role as Utility Engineering Specialist 1 in September of 2024.

Q. Please describe your duties in the Downstate Rates and Tariffs section of the Office of Rates and Tariffs.

A. My responsibilities within the Department include the engineering analysis of utility operations as they relate to the ratemaking process. This includes the review of utility proposed revenue allocation and rate design. I also participate in various reviews of the

activities of utilities such as Public Service Law Section 70 and Escrow reviews.

Q. Have you previously provided testimony in a proceeding before the Commission?

A. No, I have not.

Summary of the Testimony

Q. What is the purpose of the Panel testimony in this gas proceeding?

A. The purpose of our testimony is to explain our recommendations after reviewing the gas capital projects and programs for which Con Edison has proposed for the Rate Year, or the 12 months ending December 31, 2026. The Company also provided a capital forecast for two additional years through December 31, 2028, which we will address since a multi-year rate plan may be negotiated. We will refer to calendar year 2027 as RY2 and calendar year 2028 as RY3. We will discuss, among other things the Company's: (1) Capital Reporting Requirements; (2) Gas Long-Term Planning Proceeding; (3) Non-Pipe Alternatives; (4) Differentiated Natural Gas; and (5) Renewable Natural Gas .

Q. In this testimony, will the Panel refer to, or

otherwise rely upon, any information produced during the discovery phase of this proceeding?

A. Yes. We will refer to, and rely upon, several responses to information requests, all of which we include in Exhibit___(SGRSP-1), and reference by the designation the Department assigned, for example, DPS-100.

Q. Are you sponsoring any other exhibits in support of your testimony?

A. Yes. We provide our analysis and charts in Exhibit___(SGRSP-2).

Overview of Capital Budgeting Process

Q. What is the Company's process for developing their capital expenditures budget?

A. As described in attachment 3 of the Company response to DPS-97, the Senior Vice President and Chief Financial Officer issue a guidance document for both the preparation of the annual capital budget for the ensuing year and five-year forecast annually. The guidance document establishes target spending levels for aggregate capital projects and programs for five years and sets the timetable for budget requests, review, and approval by the President of the Company and

Chief Executive Officer of Consolidated Edison, Inc. After the issuance of the guidance document, a capital budget request is created and presented to the President of the Company for review. Following this presentation the President of the Company and respective Senior Vice Presidents present their budget requests to the CEO of Consolidated Edison, Inc. The Company's Corporate Financial Planning and Analysis Organization, which manages the capital optimization and governance processes, then coordinates and consolidates the budget requests for the proposed annual capital budget for the Finance Committee and the Board of Trustees to review. The Corporate Financial Planning and Analysis Committee also coordinates any additional approvals required for specific projects or budget increases. Documents that require submission to the Finance Committee include: requests from the Finance Committee to the Board recommending the approval of the annual budget funding level, a detailed list of projects and programs with over $10 million in funding in the budget year including projects

with long-lead times which require contractual commitments in future years, approval requests for capital projects with total cost over $50 million and approval requests to the Board for projects with total cost over $100 million, and any subsequent increases to the capital budget in excess of five percent of the amount authorized in the annual budget. The approval of the capital budget request by the Board establishes authorization for the total capital budget and each line item within the budget. After Board approval of the annual capital budget executive sponsors who are the officers responsible for a specific project or program can direct their project or program managers and project engineers to proceed with design engineering and/or other preparations for their project or program. Design engineering may be completed before project appropriation but obligations for construction or procurement cannot be incurred until the appropriation request is approved. Adjustments to line items within the authorized total budget amount that do not require Board of Trustees' approval, will

be reviewed and sanctioned by the appropriate Governance Committee. The CEO is authorized to approve increases in the capital budget as deemed appropriate unless the increase is five percent or more of the overall capital budget which would require Board approval. After the authorization of the budget the Company must go through the appropriation process which is a formal grant of authority to obligate a specific amount of Company funds for a project or program. Before funds can be obligated or expended on capital projects an appropriation request must be approved and submitted to project accounting. This request must include all capital and retirement costs for a project. Appropriation approvals are contingent upon funding being established in an approved budget or sanctioned by a capital Governance Committee. After the approval of the appropriation request the project or program manager will proceed with procurement and work to complete the project.

Distribution System Improvement Programs

Q. Briefly summarize the Company's Distribution System Improvement Programs.

A. The Distribution System Improvement Programs proposed by the Company are designed to ensure the safe and reliable operation of the Company's gas distribution system. Distribution System Improvement Programs are broken into two categories 1) Distribution Integrity and 2) System Reliability. Distribution Integrity Programs are comprised of the Gas Infrastructure Repair and Replacement Program, Distribution Integrity Main Enhancement, Service Replacement Program, Large Diameter Gas Main Program, and Gas Methane Capture Project. System Reliability Programs are comprised of the System Reinforcement Program – Winter Load Relief, Regulator Station Revamp, and Gas Reliability Improvement Program.

Q. What are the Company's total projected capital investments in this category over the three rate years?

A. Page 16 of the Company's Gas Infrastructure and Operations Panel(GIOP) initial testimony indicates the Company is proposing $610 million in RY1, $624 million in RY2, and $642 million in RY3. This represents an increase of 1.8 percent

from the previous rate year as indicated by the Company's response to DPS-99.

Q. Does the Panel recommend any adjustments or have any concerns regarding the Company's proposed distribution programs or projects?

A. The Panel reviewed the budgetary impacts, planning processes, and safety or reliability concerns claimed by each proposal, and have developed recommendations or adjustments for the following programs: Gas Methane Capture Project, System Reinforcement Program – Winter Load Relief, and Regulator Station Revamp.

Gas Methane Capture Project

Q. Describe the Gas Methane Capture Project.

A. As stated on page 21 of the Company's GIOP initial testimony, the Gas Methane Capture Project aims to identify and reduce greenhouse gas emissions within Con Edison's gas system by using technology to capture methane during purging and blowdown processes in gas mains. The technology identified by the Company are Zero Emissions Vacuum Units, or ZEVACs, as described on page 24 of Exhibit____(GIOP-1).

Q. What is the Company's proposed capital

investment for this program during the rate years?

A. As described on page 21 of the Company's GIOP initial testimony, the Company is requesting $700,000 in RY1, $300,000 in RY2, and $500,000 in RY3.

Q. What is the Company's justification for this program?

A. As described on page 25 of Exhibit ___ (GIOP-1), the Company believes this program supports the emission reduction goals of the New York State Clean Energy Vision, New York City's "80 X 50" Initiative, as well as New York's Climate Leadership and Community Protection Act (CLCPA). This project would deploy ZEVACs to capture methane during processes that would otherwise release greenhouse gases into the atmosphere.

Q. What are the implementation risks for this program?

A. As described on pages 26 and 27 of Exhibit___(GIOP-1), the Company identifies two risks: 1) securing vendors of ZEVAC units qualified for use during gas system construction that are necessary to adequately mitigate

methane releases, and 2) slower than expected adoption for use during construction activities of the ZEVAC units.

Q. Does the Company already have experience with this type of equipment?

A. Yes. Currently, Con Edison has five ZEVAC units, as described on page 24 of Exhibit___(GIOP-1), and then purchased nine additional ZEVAC machines in the fourth quarter of 2023 as stated in the response to DPS-884, for a total of 14.

Q. Has the Company historically budgeted for this program and how has it performed?

A. Yes. Based on the information in the Company's response to DPS-99 and Gas Capital Expenditures Year-End Report filed in Case 22-G-0065, the Company allotted a budget of $1.0 million in each calendar year for 2023 and 2024. No capital funds were spent in either year, according to these filings.

Q. Did the Company explain the lack of spending?

A. In response to DPS-884, the Company explains that it purchased the ZEVAC equipment using its tools budget in 2023 and released the remaining

funds to cover other initiatives. In 2024, the Company determined there was no need to purchase machines and moved those budgeted funds to another program, according to the response to DPS-884-Supp1.

Q. Does the Panel have any concerns with this proposed program?

A. Yes. As previously discussed, the capital funding for this program has not been spent historically and additionally, based on the Company's response to DPS-884, there are no plans to purchase any more ZEVAC machines in the next few years. As stated in the Company's response to DPS-588, the Company has also yet to determine the manufacturer, model type, or number of units to be purchased in the future under this program.

Q. What does this Panel recommend for this program?

A. We recommend the Commission remove the capital funding for this program as the Company has not provided any justification for the program's costs during the rate years, or further details on machines it would be purchasing for the Panel to assess, as we just discussed. This would

reduce the total capital budget by $700,000 for RY1, $300,000 for RY2, and $500,000 for RY3.

System Reliability

System Reinforcement Program – Winter Load Relief

Q. Describe the System Reinforcement Program – Winter Load Relief.

A. According to page 28 of Exhibit___(GIOP-1), this program includes the installation and replacement of gas mains for system reinforcement in areas where pressures do not meet the current design criteria on a design hour based on the prior winter's system performance. This program analyzes the gas distribution system using the Synergi Gas network model for areas of pressure concern during design hour conditions. Each year, this model is updated to include newly installed facilities and added system loads to replicate actual system conditions for the coldest day of the season, or what is called a design or peak day. System reinforcements are then recommended for identified areas to improve gas system pressures to meet design day requirements.

Q. What is the Company's proposed capital

investment for this program during the rate years?

A. As described on page 22 of the Company's GIOP initial testimony, the Company is requesting $8.49 million in RY1, $7.87 million in RY2, $7.29 million in RY3.

Q. What risks are there if the program does not deliver operational improvements?

A. The Company describes on page 29 and 30 of Exhibit___(GIOP-1), if no action is taken, the system low-points and downstream regulator inlet pressures identified may fall below minimum pressures needed to maintain service on a design day.

Q. How did the Company develop its forecasted cost?

A. According to its response to DPS-1006, the Company's forecasted budget is based on the unit costs for each of the Company's service areas and the estimated quantity of work to be done.

Q. How has the Company performed historically on this program?

A. As shown in Exhibit___(SGRSP-2), page 1, the Company has underspent by a range of negative 48 to negative 87 percent from 2020 through 2024.

Q. What are the reasons for the historical underspending?

According to the Company's response to DPS-99 and the 2024 Gas Capital Expenditures Year-End Report filed in Case 22-G-0065, the reason for the negative variance each year from 2020 through 2024 is due to a reduced volume of work.

Q. Does the Panel have any concerns with the proposed program?

A. Yes. Based on the Company's historical performance we are concerned that the Company is not appropriately budgeting for this program. In response to DPS-1006, the Company explained that the cause of the apparent reduced volume of work is the use of other budgets to address areas in the system that required additional gas supply instead of this program. These other budgets include the main replacement program in 2019, 2021, 2023, and 2024, as well as in 2020 through the inclusion of regulator station work as stated in the Company's response to DPS-608. By calculating the budget using unit costs, the Company does not consider how it regularly accomplishes this work under other budget

categories.

Q. What is the Panel recommending?

A. We recommend the Commission reduce the budget levels for this program to $4.54 million in RY1, $4.65 million in RY2, and $4.76 million in RY3. These capital funding levels more accurately reflect the historical capital spending levels for this program. Our proposed budget forecast for this capital program is based on the Company's actual historical spending levels by taking a five-year average and applying the inflation factor from the direct testimony of Staff Witness Gadomski for each proposed rate year as shown in Exhibit___(SGRSP-2) page 2.

Regulator Station Revamp Program

Q. Describe the Regulator Station Revamp Program.

A. As described on page 32 of Exhibit___(GIOP-1), this program is to address existing regulator stations to continue the Company's obligation to serve existing gas customers. The work required varies, depending on the existing design of each regulator station and the future gas load. Work can involve the installation of new regulator station vaults, inlet and outlet piping,

replacement of regulator hardware, and installation of new communication to the Gas Operation's Supervisory Control and Data Acquisition system, referred to as the Gas Operations Supervisory System.

Q. What is the Company's proposed capital investment for this program during the rate years?

A. As described on page 22 of the Company's GIOP testimony, the Company is requesting $4.76 million in RY1, $3.76 million in RY2, $3.88 million in RY3.

Q. How does the Company justify the program?

A. As described on page 32 of Exhibit___(GIOP-1), the goal of the program is to ensure that adequately sized regulators provide the capacity to meet existing and future growth, as well as to provide system flexibility as the demand for gas has not yet fully stopped increasing. The Company explains that when more demand is added to the system, the regulator stations must be able to meet this demand by maintaining the necessary system pressure required to serve customers. Regulator stations are also taken

out of service periodically due to various reasons such as contractor damage, inspections and environmental issues. According to the Company, having multiple regulators in segmented service areas should allow for proper pressure regulation for when such shutdowns are needed, to minimize impact to customers.

Q. How did the Company develop its cost forecast?

A. As stated on page 34 of Exhibit___GIOP-1), the cost estimate is based on similar historical work. As explained in the response to DPS-1010, the total budget accommodates for two complete regulator station replacements and the enhancement of another location.

Q. How has the Company performed historically with implementing this program?

A. As seen on chart 3 (variance graph) in Exhibit___(SGRSP-2), the Company has underspent by a range of -43 to -92 percent from 2020 through 2024.

Q. Does the Panel have any concerns with the proposed program?

A. Yes. As the Company explains in response to DPS-1010, this program is often subject to

project delays, causing an underspend in each calendar year from 2020 to 2023. This underspend is shown in the Company's response to DPS-99 and in the 2024 Gas Capital Expenditures Year-End Report filed in Case 22-G-0065. The Company's proposed budget is in line with historical budgets but significantly above its historical actual spending levels, as we discussed earlier. Additionally, according to the Company's Long-Term Plan filed on November 29, 2023 in Case 23-G-0147 on page 47, growth is projected to decline, contradicting the Company's justification that demand for gas has not fully stopped increasing as previously discussed.

Q. What is the Panel recommending?

A. We recommend the Commission reduce the program funding to $1.34 million in RY1, $1.37 million in RY2 and $1.40 million in RY3. These capital funding levels more accurately reflect the historical capital spending for this program. We calculated the Company's actual historical spending levels by taking a five-year average and applying the Staff inflation factor provided

by Staff Witness Gadomski for each proposed rate year as shown on page 2 in Exhibit___(SGRSP2).

Transmission Programs and Projects

Q. Briefly summarize the Company's Transmission programs and projects.

A. The transmission programs and projects proposed by the Company, as identified in Exhibit___(GIOP-1), pages 41 through 79, are designed to improve the safety, reliability, and operational flexibility of the gas transmission system while addressing regulatory compliance needs. Transmission programs and projects include main replacements, gate station refurbishments, metering station upgrades, remotely operated valves (ROVs), and regulator station rebuilds.

Q. What is the Company's total projected capital investment costs for proposals in this category over the three rate years?

A. On page 23 of the Company's GIOP testimony, the Company proposes $135 million for RY1, $135 million for RY2, and $134 million for RY3, representing an approximately 25 percent increase from the previous rate year, as

indicated in the Company's response to DPS-99.

Q. Does the Panel have any concerns for the proposed transmission programs or projects?

A. Yes. We reviewed the budgetary impacts, planning processes, and safety or reliability concerns addressed by each proposal, and have developed recommendations for the following programs: the Westchester/Bronx Border to White Plains project, the Bronx River Tunnel to Westchester/Bronx Border project, the Queens Transmission Upgrade, ROVs program, Newtown Creek Metering Station, the Cortlandt Gate Station Refurbishment, Regulator Automation Over Pressure Protection, the GR-450 A&B Relocation, and the RTU & Communications Upgrade at 1st Avenue Tunnel.

Transmission Risk Reduction and Reliability Projects

Q. What Company projects are in-progress to meet maximum allowable operating pressure reconfirmation requirements?

A. The projects, as identified and discussed in Exhibit___(GIOP-1), pages 41 through 54, are the Westchester/Bronx Border to White Plains project, the Bronx River Tunnel to

Westchester/Bronx Border project, and the Queens Transmission Upgrade project

Q. Describe the maximum allowable operating pressure reconfirmation projects generally.

A. The projects, as identified and discussed in Exhibit___(GIOP-1), page 41 through 54, are multi-year federal Pipeline and Hazardous Materials Safety Administration (PHMSA) required upgrades involving the replacement of 24-inch transmission main with 36-inch high-pressure distribution main. The work is necessary for the Company to comply with PHMSA rule 49 Code of Federal Regulations (CFR), 192.624.

Q. What does the PHMSA rule 49 CFR 192.624 specifically require?

A. The PHMSA rule requires pipeline operators to provide documentation that reconfirms the maximum allowable operating pressure of their transmission lines or to conduct pressure tests in the absence of those documents.

Q. Does the Company meet the requirements outlined by rule 49 CFR 192.624?

A. The Company does not possess the necessary documentation to meet the requirements, and the

existing pipeline needs extensive work to pass the required pressure tests. To comply with PHMSA requirements in the absence of the necessary documentation, using an alternate mechanism allowed by regulation, the Company opted to install new high-pressure distribution main that satisfies the PHMSA rule 49 CFR 192.624.

Q. Are there any deadlines to meet the requirements outlined by PHMSA rule 49 CFR 192.624?

A. Yes, these projects have a PHMSA mandated deadline of 50 percent completion by July 3, 2028, and 100 percent completion by July 2, 2035.

Q. What is the Company's proposed capital investment for these projects during the rate years?

A. Page 26 of the Company's GIOP initial testimony indicates that the Company is proposing in total $89 million in RY1, $89 million in RY2, and $92 million in RY3 for all three projects.

Q. What concerns does the Panel have regarding the three maximum allowable operating pressure reconfirmation projects?

A. The Panel has concerns with the Company's budget forecasting, forecast of main installation per year, and reporting of information related to the three projects.

Q. Does the Panel have concerns with the Maximum Allowable Operating Pressure (MAOP) projects?

A. Yes. In response to DPS-546, the Company stated that it creates the budget for the MAOP reconfirmation projects based on historical cost per foot of main installation, multiplied by the total footage of main to be completed in the three rate years. The Company further detailed in DPS-906 that estimates are developed from historical actuals from the projects and high-level estimates for non-standard work components in addition to cost per foot of main installation. However, in the Company's response to DPS-906, it claims that for the Bronx River Tunnel to Bronx/Westchester Border project in particular, unit cost is not an appropriate way to break down the cost forecast despite indicating that historical cost per foot is a critical part of the budgeting process. We have also prepared a workpaper, available in

Exhibit___(SGRSP-2), page 3, that explains additional discrepancies in information reported by the Company. The workpaper is broken up into lettered sections that address the main areas of discrepancy. First, the 2026 budget for the Queens Transmission project appears to be based on a three percent escalation from the 2025 capital budget in the Company's Exhibit___(GIOP-1), page 54. This escalation is associated with the total 2025 budget and not the historical unit cost. Considering the Company has stated their cost forecasting process is constructed from unit costs, it is unclear why the escalation was applied to the total budget and not a unit cost basis. Second, there are three different and conflicting values for what the historical cost per foot of main was on the Queens Transmission Upgrade project in 2021. Third, different historical cost per foot values were reported across all three MAOP projects over the past five calendar years in two different IR responses. Finally, different practices appear to have been used by the Company when determining the forecasted annual

feet of main installation over the rate years. Additionally, ancillary and main run footages are accounted for in the forecasted main installation for the Bronx River Tunnel to Westchester/Bronx Border project, but not the other two MAOP projects where ancillary footage was not added to the forecast.

Q. What does the Panel recommend for the three maximum allowable operating pressure reconfirmation projects?

A. We recommend the Commission require the Company to add additional reporting standards to the three MAOP projects. Specifically, we recommend the Commission direct the Company to provide, in its regular capital expenditure filing updates, a progress report for each of the three MAOP projects. This progress report would include the annual forecasted feet of main installation, as outlined in the current rate proceeding, and provide the current project completion towards that annual forecast goal. Additionally, the Company would provide its total completed feet of main replacement for each of the three projects and how it compares to the feet of main

installation, including main run and ancillary footage, required to make the pipeline operational to meet the deadline requirements outlined by PHMSA rule 49 CFR 192.624. The Company can use this progress report as an opportunity to explain in detail any increases or decreases in project volume and information related to project delays, price variation, or other project related variables.

Queens Transmission Upgrade project

Q. Please describe the Queens Transmission Upgrade project.

A. The Queens Transmission Upgrade project, as found in Exhibit___(GIOP-1), page 51, is an ongoing PHMSA-required upgrade involving the replacement of four miles of 24-inch transmission main with 36-inch distribution main. The Company states the work is needed to comply with PHMSA rule 49 CFR 192.624. The Company does not possess the necessary documentation to meet the requirements of PHMSA rule 49 CFR 192.624 and the existing pipeline would need extensive work to pass the required pressure tests. Therefore, the Company opted to

install new high-pressure distribution main to meet the maximum allowable operating pressure requirements outlined by the PHMSA regulation. Con Edison proposes an estimated in-service date of 2028 for this project. As mentioned earlier, PHMSA mandates 50 percent completion by July 3, 2028, and 100 percent completion by July 2, 2035.

Q. What is the Company's proposed capital investment for this project during the rate years?

A. Page 26 of the Company's GIOP initial testimony indicates that the Company is proposing $31 million in RY1, $32 million in RY2, and $33 million in RY3.

Q. How many feet of main does the Company forecast installing over the rate years?

A. In its response to DPS-546, the Company states it intends to install 5,400 feet in RY1, 5,600 feet in RY2, and 5,700 feet in RY3.

Q. How has the Company performed historically with main installation for this project?

A. The Company's response to DPS-546 shows the maximum feet of gas main it has installed in a

given year has not exceeded 5,565 feet over the past five calendar years, from 2020 through 2024, with a three-year, from 2022 through 2024, moving average of 4,204 feet of main installation per year.

Q. Will the Company meet the 50 percent completion deadline and 100 percent completion deadline outlined by PHMSA rule 49 CFR 192.624?

A. The Company's response to DPS-906 provided an updated forecast of 14,520 feet of main installation for 2025. This updated 2025 forecast along with the forecasted installation for 2026 through 2032 indicate the Company would likely meet the completion deadlines.

Q. What concerns does the Panel have regarding the project?

A. We are concerned with the Company's proposed in-service date of 2028 since it does not accurately reflect project completion. In response to DPS-906, the Company forecasts main installation for the project until at least 2032, assuming no disruptions or delays impact this schedule.

Q. What is the Panel recommending for the Queens

Transmission Upgrade project?

A. We recommend that the Commission modify the in-service date for this project to better reflect when the transmission upgrade would be completed. Considering the Company does not anticipate completing the project until at least 2032, the in-service date should be adjusted from 2028 to 2032 to realistically reflect project completion.

Remotely Operated Valves (ROVs) Program

Q. Please describe the Company's Remotely Operated Valves program.

A. According to the Company, in Exhibit___(GIOP-1), page 55, the ROVs program involves the installation of new ROVs at critical transmission main locations or the conversion of existing transmission valves to ROVs. In the Company's response to DPS-545, Con Edison states it forecasts the installation of one ROV on a 24-inch gas main in RY1, one ROV on a 24-inch gas main in RY2, and one ROV on a 30-inch gas main in RY3, all of which are located in the Manhattan portion of the Company's service territory.

Q. What benefit does the ROV program provide to rate payers?

A. The ROV program allows the Company to rapidly isolate sections of main to protect the larger gas distribution system in the event of an emergency disruption through remote operation at its gas control center. The implementation of ROVs can minimize the number of customer outages associated with a disruption while enhancing system reliability through the protection of critical gas infrastructure, all of which provide a reliability benefit to gas rate payers on the system.

Q. What alternatives did the Company consider for this program?

A. The Company identified in Exhibit___(GIOP-1), page 56, that an alternative to ROVs would be traditional valves, which require utility workers to dispatch, locate, and manually shut off the valve in the event of a disruption to avoid cascading effects to nearby distribution areas.

Q. What is the Company's proposed capital investment for this program during the rate

years?

A. Page 27 of the Company's GIOP initial testimony shows a request of $3.35 million in RY1, $3.35 million in RY2, and $3.46 million in RY3.

Q. Has the Company historically met its spending targets for this program?

A. No. The Company's response to DPS-99 provides the budget allocation and total spend for this project from 2019 through 2023. Budget allocation and total spending for 2024 is provided in the 2024 Gas Capital Expenditures Year-End Report filed in Case 22-G-0065. Over the past six calendar years, from 2019 through 2024, the Company has underspent in all six years. The Company's total budget allocation for this project over the past six calendar years was $20.5 million with a total actual spend of $0.5 million over the same period of time accounting for a total variance of negative 98 percent. Exhibit___(SGRSP-2), page 4, provides a graphical overview of the respective spending, budget allocation, and variance for this program.

Q. What concerns does the Panel have regarding the

ROVs program?

A. The Panel has concerns with both the Company's historical budgeting and spending performance along with its implementation of ROVs. The Company's response to DPS-545 indicates it has only installed two ROVs as a direct result of this program since 2019. In the same response to DPS-545, the Company explained how the two installed ROVs were conversions of an existing valve and required only $206,000 of the provided $3.1 million budget in 2023, and $260,000 of the provided $3.3 million budget in 2024 to complete, as shown in the response to DPS-99 and Exhibit___(SGRSP-2). The concerns over the Company's capability to install ROVs through this program are magnified when considering the historical variance associated with inconsistent ROV implementations. As outlined in the prior response, the Company has a negative 98 percent variance for this category since 2019, inclusive of the two years where ROVs were installed. This demonstrates the program may not be a priority to the Company considering the significant underperformance of this program

since 2019.

Q. What is the Panel recommending for the ROVs program?

A. The Panel recommends the Commission reject the requested budget of $3.4 million in RY1, $3.4 million in RY2, and $3.5 million in RY3 proposed by the Company. It is important to note that Exhibit___(GIOP-1), pages 41, 46, and 55, shows the Company does not lose the reliability value of ROVs since they are installed through other capital expenditure programs. Due to the historical inconsistency in installing ROVs, the historical underspend in years where the Company installed an ROV, and how ROVs are installed on the system through other capital expenditure programs, the Panel recommends the Commission reject the requested funding for the ROV program for all three rate years.

Newtown Creek Metering Station project

Q. Please describe the Company's Newtown Creek Metering Station project.

A. According to the Company in Exhibit___(GIOP-1), page 58, the Newtown Creek Metering Station project involves the upgrade of existing gas

infrastructure at the site including ultrasonic metering sets with the Company anticipating implementation in 2028. The metering station serves as the connection point between The Brooklyn Union Gas Company d/b/a National Grid NY and Con Edison in which upgrades to an ultrasonic metering set would improve the station's reliability. This would also require the replacement of regulators, valves, piping, communications equipment, and electrical systems with new equipment to be compatible with the new metering technology. The completion of this project would also address necessary code requirements. Additionally, the construction of the new metering station would avoid the need to use horizontal directional drilling associated with the eventual connection of the station to the Queens Transmission Upgrade project as explained by the Company in the response to DPS-808. This would provide future cost savings to rate payers for the Queens Transmission Upgrade project.

Q. What is the Company's proposed capital investment for this project over the rate years?

A. Page 27 of the Company's GIOP initial testimony indicates a request for $15.6 million in RY2, and $14.4 million in RY3.

Q. How does the Company develop its cost forecast for this project?

A. The Company's response to DPS-808 identifies it has not determined a final estimate for the project because the design of the project is not completed. Instead, the Company details the cost forecast for the Newtown Creek Metering Station as an order of magnitude estimate based on the actual cost of a meter regulating station installation associated with extra high-pressure pipelines in the Bronx River Tunnel. Moreover, the Company states in response to DPS-808 that the last competitively solicited cost estimate for this project is from 2019, prior to the Company's decision to change the project scope.

Q. Has the Company met its spending targets for this project historically?

A. The Company's response to DPS-99 provides the budget allocation and total spend for this project from 2019 through 2023. Budget allocation and total spending for 2024 is

provided in the 2024 Gas Capital Expenditures Year-End Report filed in Case 22-G-0065. The Over the past six calendar years, from 2019 to 2024, the Company was provided a budget for this project in 2019, 2020, 2021, and 2024. The Company did not spend any of the allocated dollars, totaling $26.8 million, over those years, resulting in a negative 100 percent total variance of this project. Exhibit___(SGRSP-2), page 5, provides a graphical overview of the respective spending, budget allocation and variance for this project.

Q. What reasons did the Company provide for this variance?

A. The Company's response to DPS-808 cited project delays as the leading cause for the variance. The delays were a result of site access limitations in the original design for the project that forced the Company to consider alternatives. An alternative design was then selected by the Company.

Q. What concerns does the Panel have regarding the Newtown Creek Metering Station project?

A. The Panel is concerned with the Company's

prioritization, approach to budgeting, and planning for this project. The Company confirmed in response to DPS-808 that it has not determined a final cost estimate for the project since the Company has not completed the design of the project. Despite the lack of a final estimate, the Company is requesting a budget in the amount of $15.6 million in RY2 and $14.4 million in RY3, which was constructed with an order of magnitude estimation from a different gas system project in the Bronx River Tunnel. The last time a dedicated estimate was generated for the Newtown Creek Metering Station was in 2019, over five years ago and prior to the Company's decision to change the scope of the project. The Panel's concerns are further amplified when considering the historical underspend in this category since 2019 as discussed earlier.

Q. What does the Panel recommend considering these concerns?

A. The Panel recommends denying the Company's requested budget of $15.6 million in RY2 and $14.4 million in RY3 for the Newtown Creek

Metering Station project. If the Company's competitively solicited estimate from 2019 and respective designs were impeded by unforeseen project delays, providing a budget on the basis of an order of magnitude estimate prior to design completion or a final cost estimate is not appropriate. Thus, this project in its current state is premature, and we recommend no funding for this project.

Cortlandt Gate Station Refurbishment Project

Q. Please describe the Cortlandt Gate Station Refurbishment project.

A. As described on page 61 of Exhibit___(GIOP-1), the Company indicates the Cortlandt Gate Station Refurbishment project would upgrade the existing Cortlandt Gate Station with new regulators, valves, piping, metering equipment, communication equipment, and overpressure protection to replace the existing infrastructure that was put into service in 1955. The capacity upgrades would increase the existing output of the station from 232 to 500 dekatherms per hour. This upgrade would allow the Cortlandt Gate Station to serve as a backup

to the Yorktown Gate Station in the event of a disruption and limit the total number of customers who would experience a loss of gas service. Con Edison anticipates completing this project in 2026.

Q. What is the Company's proposed capital investment for this project over the rate years?

A. Page 27 of the Company's GIOP initial testimony identifies a request of $10 million in RY1.

Q. How does the Company develop its cost forecast for this project?

A. The Company states in its response to DPS-814 that it is not responsible for the cost estimates of the project. Under the Interconnection Agreement between Enbridge and the Company, Enbridge provides the designs, estimates and construction of the gate station while Con Edison is responsible for the costs associated with that upgrade. The estimate provided by Enbridge was conducted as an order of magnitude estimate since the final designs for the project are not completed. Once final designs are established, Enbridge will competitively bid the project and engage in a

Value Engineering Process to further reduce costs where possible.

Q. Has the Company met its spending targets for this project historically?

A. The Company's response to DPS-99 provides the budget allocation and total spend for this project from 2019 through 2023. Budget allocation and total spending for 2024 is provided in the 2024 Gas Capital Expenditures Year-End Report filed in Case 22-G-0065. The Company did not have a budget for this project from 2019 through 2022 but spent $14,000 in 2019. The Company budgeted $11 million in 2023 but did not spend any of it. The Company's Exhibit___(GIOP-1), page 64, identifies $5 million of projected spending in 2025 for the project that was not budgeted for according to the Company's response to DPS-99. Due to the inconsistency of budgeting and spending, discussing the variances does not provide meaningful data. Exhibit___(SGRSP-2), page 6, provides a graphical overview of the respective spending, budget allocation and variance for this project.

Q. What reasons did the Company provide for the underspend in 2023?

A. The Company's response to DPS-814 explains how it maintains a Land Use Agreement with the New York City Department of Environmental Protection (DEP), who owns the property. The Company states that, alongside Enbridge, it is actively working with the DEP to meet the necessary requirements to update the Land Use Agreement, but that it has been a time-consuming process with several revisions.

Q. What alternatives did the Company consider for this project?

A. The Company considered two alternatives as discussed on Exhibit___(GIOP-1), page 62. The first alternative considered was for the Company to construct a replacement gate station on new property along the Algonquin pipeline right of way, but it was unable to find suitable property. The second alternative was to build a new structure on a lower designed flood elevation, but this would risk flooding if the flood plain elevation changes in later years.

Q. What concerns does the Panel have with the

Cortlandt Gate Station Refurbishment project?

A. The Panel is concerned with the Company's claim about the poor material condition of the gate station. The Company claims in Exhibit___(GIOP-1), page 61, that the equipment at the Cortlandt Gate Station is obsolete. Furthermore, the Company states the following three concerns in response to DPS-814: 1) the buildings are in extremely poor condition, would require new roofs and refurbishments, and do not currently have gas or fire detection; 2) the grounds are difficult to maintain in winter months and would require repaving; 3) the fencing would need to be replaced due to poor condition. These claims are disputable as the Panel visited the Cortlandt Gate Station on Friday, March 21, 2025, and found the facility to be in good condition. While the gate station was constructed in the 1950s and could require a refurbishment in future years based on its numerical age, the infrastructure inside the station was in good operating condition with no visible signs of corrosion or degradation. The Company is not responsible for maintenance at

the site and consequentially have no record of operations and maintenance work to justify how the obsolete equipment, as the Company describes it, are at risk of failing and thus requiring replacement. The Panel is further concerned about the Company's proposed budget for the project. The Company's proposed budget is designed off a preliminary order of magnitude estimate according to the Company's response to DPS-814. The Company also explains how designs for the project have not been completed, and no estimate has been generated. Because no estimate has been generated, it has not been competitively bid on to ensure the lowest cost to rate payers. Considering that the proposed budget is not based on a final estimate or a competitively bid estimate, it is premature to provide funding for this project. The Company must have a firm estimate in hand, that is based on actual project costs determined by final design, before it can be provided a budget for this project.

Q. What is the Panel recommending for the Cortlandt Gate Station Refurbishment project?

A. Considering the Panel's concerns with the budgeting and design of the project, in addition to concerns over sections of the facility in need of repair, the Panel recommends the Commission reject the Company's funding request of $15 million for this project and move any project work to a later rate proceeding.

Pressure Control

Q. Briefly summarize the Company's Pressure Control projects.

A. The Pressure Control projects proposed by the Company are focused on the modernization of the Company's infrastructure along with installation of automated control equipment to enable remote operation of regulator stations. Additionally, Pressure Control projects ensure compliance with regulatory standards. Pressure Control projects include the Pressure Control Regulator Automation Project, Pressure Control Regulator Station Related Improvements, the GR-450 A&B Replacement, and the Remote Telemetry Unit and Communications Upgrade at 1st Avenue Tunnel.

Pressure Control Regulator Automation Program

Q. Please summarize the Pressure Control Regulator

Automation Project.

A. According to page 68 of the Exhibit___(GIOP-1), the Pressure Control Regulator Automation Program would install automated control equipment at all 337 gas system regulator stations. This program would provide instantaneous remote operation of the system pressure regulating stations while also providing real time telemetry. The program also would provide for the installation of Over Pressure Protection equipment or the rehabilitation of the existing system to prevent pressures over the maximum allowable operation pressure. According to the Company's response to DPS-917, Con Edison forecasts 23 upgrades in RY1, 24 upgrades in RY2, and 25 upgrades in RY3.

Q. What is the Company's proposed capital investment for this program?

A. The Company is requesting $19.6 million in RY1, $20.2 million in RY2, and $20.8 million in RY3, as stated on Page 27 of its GIOP initial testimony.

Q. What methodology does the Company use to develop its budget for this program?

A. As described in response to DPS-917, the Company states it developed the budget based on historical data and the costs associated with both remote automation and overpressure protection enhancement. Additionally, the Company states that each station is unique and estimates for the remaining locations were created using actual expenditures that were completed year to date. The Company explains that, as the project expanded, there were changes to the design which necessitated additional materials, construction requirements, and field support to meet the needs of each unique station. As shown in the response to DPS-917, the Company was unable to provide an actual breakdown of costs for the installation at each unique regulator station.

Q. How has the Company performed historically in budgeting and spending for this project?

A. The Company's response to DPS-99 and the 2024 Gas Capital Expenditures Year-End Report filed in Case 22-G-0065 provides the budget allocation and total spend in this capital category over the past five calendar years from 2020 to 2024.

In each of these five calendar years the Company overspent by an average of 73 percent.

Q. Does the Company propose any alternatives?

A. As described in Exhibit___(GIOP-1), page 70, the alternative is to continue manual station adjustments, which increase O&M costs, with limited system visibility and no way to act instantly to demands or disturbances. Additionally, as described in the response to DPS-917, the Company cited overpressure protection as necessary to stay in compliance with the Protecting Our Infrastructure of Pipelines and Enhancing Safety (PIPES) Act of 2020.

Q. What are the Panel's concerns with the budgeting for this program?

A. As we discussed earlier, the Panel is concerned with the Company's past performance in overspending in this capital category as well as the methodology used in developing the forecast budget. According to the 2024 Gas Capital Expenditures Year-End Report filed in Case 22-G-0065, the Company spent $22.47 million in 2024 for this program. Given that the Company's

response to DPS-917 states that 21 regulator station upgrades were completed in 2024 the cost per regulator station was approximately $1.08 million. However, in the response to DPS-917, 'DPS-44-917 Attachment 1-REDACTED', the Company provides a budget estimate of $780,000 per regulator automation.

Q. Does the Panel have any other concerns with this program?

A. Yes. In its response to DPS-917, the Company cites O&M increases from increased manual adjustments if the program is not continued as a reason to continue the program. The Panel's concern with this justification is that the Company is unable to provide the historical O&M costs from these adjustments because they are combined with other O&M work. The Company's Exhibit ___(GIOP-1), page 70, cites the PIPES Act of 2020 as justification for this project, but the rules proposed on September 7, 2023, for Pipeline Safety, Safety of Gas Distribution Pipelines and Other Pipeline Safety Initiatives, as required by the PIPES Act, have not yet been adopted.

Q. What does the Panel recommend regarding this program?

A. We recommend the Commission reduce the capital budget for this program from $19.6 million in RY1, $20.2 million in RY2, and $20.8 million in RY3 to $15.6 million in RY1, $16 million in RY2, and $16.4 million in RY3.

Q. Explain the Panel's adjustment methodology.

A. The Company's response to DPS-917 provided both the historical amount of work completed and projected work completed over the rate years. The Panel took the average amount of upgrades completed between 2020 and 2024 which is 19 and used the average cost of $780,000 from the response to DPS-917, 'DPS-44-917 Attachment 1-REDACTED', after applying the inflation factor provided in the Testimony of Staff Witness Gadomski to calculate our adjustment. These calculations are shown in Exhibit___(SGRSP-2), page 7.

GR-450 A&B Relocation project

Q. Panel, what is the GR-450 A&B Relocation project?

A. On page 75 of Exhibit___(GIOP-1), the Company

describes the project as replacing GR-450, an obsolete regulator that contains both a low and medium pressure regulator, with two separate regulators called "A&B". According to the Company, this is a three-year project in which the existing regulator would remain in service during the construction of A&B until completion in 2028 in which the original GR-450 would be retired.

Q. What is the Company's proposed capital investment for this project?

A. The Company is requesting $6 million in RY1, $6 million in RY2, and $2 million in RY3.

Q. Why is the Company proposing this project?

A. The Company states it proposes this project to address the risk posed by the presence of a watermain in the same manhole as a GR-450 regulator. The Company also states that the GR-450 contains obsolete components, and replacement components would not fit at this location, thus requiring an entirely new regulator to be constructed.

Q. Does the Company provide any alternatives to this project?

A. No. The Company provides no alternative to this project.

Q. What concerns does the Panel have regarding the GR-450 A&B Relocation project?

A. We are concerned with the Company's justifications for this project. As stated, in Exhibit___(GIOP-1), page 75, the Company cites the risk of a watermain break in the manhole that contains GR-450 A&B and obsolete components as justification for this project. However, in the Company's response to DPS-1005, the Company states that there is no history of any issues with the watermain, nor any difficulties servicing these obsolete components.

Q. Based on this information, what adjustments do you recommend for the GR-450 A&B Relocation project?

A. The Panel recommends that the Commission reject the Company's funding request of $6 million in RY1, $6 million in RY2, and $2 million in RY3.

Remote Telemetry Unit and Communications Upgrade - 1st Avenue Tunnel project

Q. Please describe the Company's Remote Telemetry Unit and Communications Upgrade - 1st Avenue

Tunnel project.

A. As described on page 78 of Exhibit___(GIOP-1), this project involves the replacement of obsolete and unsupported equipment with current design standard Remote Terminal Unit, with an in-service date of December 2026. This system provides advanced warning of abnormal operating conditions of the steam distribution system.

Q. What is the Company's capital funding request for this project?

A. The Company is requesting $1 million in RY1 for this project, as noted on page 79 of Exhibit___(GIOP-1).

Q. Why is the Company proposing this project?

A. The Company is proposing this project because the current equipment is difficult to maintain with spare parts unavailable from the manufacturer or third-party suppliers. The Company states that it has a limited supply of several spare parts needed to maintain the existing Remote Telemetry Unit communication, and that equipment outages are inevitable once this supply is exhausted.

Q. Does the Company provide any alternatives to

this project?

A. The Company's proposed alternative to completion of this project is to run the existing equipment to failure, requiring the tunnel to be staffed 24 hours a day and seven days a week.

Q. What are the Panel's concerns with this project?

A. We do not believe that this project should be included in this gas rate proceeding due to its relation to the Company's steam system. In addition to being beyond the scope of these rate proceedings, the Company's response to DPS-896 indicates that there are no workpapers available for this project as it is still in the design phase.

Q. What does the Panel recommend regarding this project?

A. We recommend the Commission reject the $1 million funding request in RY1.

Technical Operations Liquified Natural Gas

Q. Panel, how does liquified natural gas address the reliability of the Company's gas system?

A. Liquified natural gas, also referred to as LNG, provides on-system support to the Company's gas system. The Company's LNG inventory can be used

to maintain pressure support and prevent outages in the event of disruptions to the Company's off-system gas supply. Additionally, LNG can be used as a physical hedge against price volatility to customers.

Q. Briefly summarize the Company's liquified natural gas programs and projects.

A. As described in Exhibit___(GIOP-1) , pages 92 through 119, the Company is proposing nine projects or programs related to their LNG portfolio. These proposals include both new and ongoing projects or programs that may improve reliability or safety to various components of their LNG portfolio. The projects or programs include proposals for electric improvements, liquification improvements, safety upgrades, boil-off upgrades, and resiliency enhancements.

Q. What are the Company's total projected capital investment costs for proposals in this category over the three rate years?

A. Page 35 of the GIOP testimony indicates the Company is proposing $37.5 million for RY1, $10 million for RY2, and $9 million for RY3.

Q. Does the Panel have any concerns for the

proposed LNG programs or projects?

A. Yes. We reviewed the budgetary requests, planning processes, and safety and reliability needs that are addressed by each proposal, and developed recommendations for Electrical Distribution System Upgrade Project, Nitrogen Refrigeration Cycle Replacement, Plant Controls Instrumentation Upgrade Project, Resiliency Improvement Program, Tank Pressure and Vacuum Relief Valves, Ground Combustor Replacement Project, and Compressor Station Fire Detection Upgrade.

Q. Are any of the LNG projects or programs dependent on another?

A. Yes. The Company's response to DPS-826 explains that the Electrical System Distribution Upgrade, the Nitrogen Refrigeration Cycle Replacement project, and the Plant Controls Instrumentation Upgrade project are dependent on the progression and/or completion of each other. These projects are interdependent because the new project area designated for the Nitrogen Refrigeration Cycle Replacement project would require new instrumentation as part of the Plant Controls

Instrumentation Upgrade Project and improved electrical capacity from the Electrical Distribution System Upgrade project.

Q. Does the Panel have recommendations to any of the interdependent projects that could impact the projects?

A. Yes, the Panel recommends adjustments for the Nitrogen Cycle Replacement Project and Plant Controls Instrumentation Upgrade project that would in turn impact the Electrical Distribution System Upgrade project.

Nitrogen Refrigeration Cycle Replacement Project

Q. Please describe the Nitrogen Refrigeration Cycle Replacement project.

A. In Exhibit___(GIOP-1), page 96, Con Edison explains that the Nitrogen Refrigeration Cycle Replacement project as an upgrade of the Astoria LNG plant's existing liquefaction system from 1973. This set of equipment affects the operational efficiency and speed at which the LNG tank can fill. According to page 36 of the Company's GIOP Initial Testimony, upgrades to this system would include a new turbine-compressor main driver, cold box, compressor-

expanders, piping and wiring, nitrogen storage system, air compressor system, control systems and other necessary auxiliary equipment.

Q. Why does the Nitrogen Refrigeration Cycle system require an upgrade?

A. The Company explains on page 96 of Exhibit___(GIOP-1) that the LNG tank does not refill at its design specification due to operational issues with various components. The Company's response to DPS-813 specifies that the limited flowrate is dependent on the ambient temperature and atmospheric pressure changes. It was also mentioned that flowrate limitations are associated with failures of the original eductor system and that heat exchange is limited due to fouling within the heat exchanger passes.

Q. How does the limited flowrate compare to the flowrate associated with original design specifications?

A. In response to DPS-813, the Company states the original design specification of 6 million standard cubic feet per day of liquification has been limited to 3.75 million standard cubic feet per day, or at 62.5 percent operational

efficiency.

Q. What is the Company's proposed capital investment for this project during the rate year?

A. Page 37 of the Company's GIOP's initial testimony indicates a request of $25 million in RY1.

Q. How did the Company develop its cost forecast for this project?

A. The Company's response to DPS-813 states that a competitive solicitation process was used to provide an estimate for project costs.

Q. What progress has the Company made on this project since budgeting began in 2020?

A. In response to DPS-813, the Company states that since 2020 it has completed the design, engineering and procurement phases of the project. The remaining phase of this project would be construction of the new liquefaction site.

Q. What reliability impact does the limited flowrate pose to facility operations?

A. As mentioned previously, the liquefaction flowrate influences the rate at which the

Astoria LNG tank can be refilled. With the current flowrate at 62.5 percent of operational efficiency, as determined from the Company's response to DPS-813, the greatest concern would be the capability of the LNG facility to refill the LNG tank to capacity after a heating season. Ensuring the tank is at or close to maximum capacity provides a critical backup supply to the Con Edison gas system in the event of a major disruption to pipelines delivering gas to the Con Edison gas system.

Q. What is the volume of LNG the liquefaction system is capable of injecting to the tank over the course of the injection season?

A. The Astoria LNG facility, when functioning at its original design specification, is capable of refilling the entire tank capacity of 1,000,000 thousand cubic feet (MCF), or 1,000 million standard cubic feet (MMCF), based on the 6 million standard cubic feet per day of daily injection over the course of the injection season from April 1 through October 31. However, due to the reduced rate of 3.75 million standard cubic feet per day, and barring any

maintenance or disruptions to the facility, it is capable of injecting at approximately 62.5 percent efficiency.

Q. What are the historical levels of the Astoria LNG tank at the start and end of the heating season?

A. The Company's response to DPS-813 provides the tank levels at the beginning and end of the heating season over the past ten calendar years starting in November 2014 until April of 2025. The Company considers the heating season to start November 1 and end April 1 of the following year. The information provided in the Company's response shows that the most tank capacity dispersed in a single heating season was 299,285 mcf or 29.9 percent in 2015. The average tank usage over the past ten calendar years was 118,786 mcf, or 11.9 percent of capacity, while the average tank usage over the past ten calendar years excluding 2016 and 2024, two years in which the tank experienced no or negative usage, is 153,664 mcf, or 15.4 percent of capacity. Page 8 of Exhibit___(SGRSP-2), Figure B, provides a graphical overview of the

tank capacity at the start and end of the heating season.

Q. How does the historical usage of the LNG facility compare with the limited injection flowrate?

A. Considering the ten-year historical average of 11.9 percent LNG usage over the course of the heating season, and the ten-year maximum outflow of 29.9 percent in a given heating season, the Astoria LNG facility is still capable of refilling the tank despite the limited injection flowrate. Assuming the limited flowrate of 3.75 million standard cubic feet per day ran for the 213-day injection season from April 1 to October 31, and the Company's refill strategy, according to its response to DPS-813, is to run from the start of the season until the tank is full, the Astoria LNG facility is capable of injecting 798.75 MMCF, or 79.8 percent of tank capacity over that timeframe. Additionally, this calculation does not include information in the Company's response to DPS-813 in which Con Edison states it could continue injection after the start of the heating season, if conditions

are favorable, allowing for additional injection. Based on the Company's average flowrate of 3.75 million standard cubic feet per day, as provided in DPS-813, there is a sufficient flowrate in place to ensure the LNG tank is capable of being filled to capacity even if tank outflows returned to the highest rate seen in the past ten calendar years. Exhibit___(SGRSP-2), page 8, Figure B, provides a graphical overview of these calculations overlayed by annual usage.

Q. What is the Panel recommending for this project?

A. We recommend the Commission reject the Company's RY1 funding request of $25 million for the Nitrogen Refrigeration Cycle Replacement Upgrade. While the Astoria LNG facility may not be operating at its original design specifications, it is still capable of safe and reliable operations despite limitations to the injection flowrate. While this upgrade would improve the reliability of this LNG station, as we discussed it is still capable of meeting even its maximum historical needs. Therefore, we recommend moving this proposal and all

associated funding to a future rate proceeding.

Electrical Distribution System Upgrade Project

Q. Please describe the Electrical Distribution System Upgrade Project.

A. Exhibit___(GIOP-1), page 92 indicates the Electrical Distribution System Upgrade would relocate and install a new electrical substation further away from the gas transmission main that supplies electricity to the LNG Plant. The Company also states that the equipment at the current substation is obsolete and no longer supported by the manufacturer. The new substation would have new equipment installed to replace the obsolete components.

Q. What is the Company's proposed capital investment for this project during the rate years?

A. Page 38 of the Company's GIOP testimony identifies a request of $7 million in RY1.

Q. What is the risk of delaying the implementation of this project?

A. Exhibit___(GIOP-1), page 93, claims there have been multiple incidents where large amounts of energy were released from the substation that

could result in serious injury or death to operating personnel. Continuing to operate the substation in its current state would perpetuate the risk of such these incidents, according to the Company. However, the Company's response to DPS-905 contradicts this claim. In its response, the Company states there have been no incidents over the past five calendar years where a catastrophic failure of equipment occurred, putting the response at odds with its initial statement in Exhibit___(GIOP-1), page 93.

Q. How would the project be impacted by adjustments to interdependent projects?

A. The adjustments made to the interdependent projects, specifically the Nitrogen Refrigeration Cycle Replacement project, would require rejecting the costs associated with the Electrical Distribution System Upgrade project. Based on the sequencing of work and recommendations to related programs, we recommend the Commission reject the funding request for this project.

LNG Plant Controls Instrumentation Upgrade program

Q. Please describe the LNG Plant Controls Instrumentation Upgrade program.

A. On page 38 of the Company's initial GIOP testimony, the Company states the LNG Plant Controls Instrumentation Upgrade program includes the upgrade and centralization of the existing monitoring and control capabilities. The Company asserts in Exhibit___(GIOP-1), page 100, that centralized control system and improved instrumentation would allow for additional monitoring and control capability when the plant receives non-traditional-gulf-gas.

Q. What is the Company's proposed capital investment for this project during the rate years?

A. Page 38 of the Company's GIOP initial testimony identifies a request for $4 million in RY1.

Q. How did the Company develop its forecasted cost for this project?

A. The Company developed its forecasted cost for this project through a competitive solicitation process completed in 2022 along with an order of magnitude adjustment, as detailed in the

Company's response to DPS-807.

Q. How has the Company performed historically for this project?

A. The Company's response to DPS-99 provides the budget allocation and total spend in this category from 2019 to 2023. The budget allocation for 2024 is provided in the 2024 Gas Capital Expenditures Year-End Report filed in Case 22-G-0065. The Company's total budget allocation for this project from 2020 through 2023 was $21.4 million with a total actual spend of $0 over the same period of time, accounting for a total variance of negative 100 percent. Exhibit___(SGRSP-2), page 9, provides a graphical overview of the respective spending, budget allocation and variance for this project.

A. What is the reason for the Company's significant variance in this project?

Q. The Company's response to DPS-807 explains that the variance was because of multiple project delays. Specifically, the Company highlights in its response that the project was delayed because it is contingent on the Nitrogen Refrigeration Cycle Replacement Upgrade and the

Electrical Distribution System Upgrade. However, it is unclear why the Company budgeted $14 million for the Plant Controls Instrumentation Upgrade during the 22-G-0065 rate proceeding for 2023 through 2025 considering the ongoing delays in the Plant Controls Instrumentation Upgrade project from 2020 through 2022. Due to the interdependent nature of these projects, the Company should not have requested a large budget in light of the existing and ongoing delays at the time of the request. Furthermore, the Company's response to DPS-807, attachment 'DPS_36_807_Att 1_CONFIDENTIAL' indicates a 2022 project estimate that is **BEGIN CONFIDENTIAL INFORMATION** [redacted] **END CONFIDENTIAL INFORMATION.** The Company's higher budget request in 2023 does not match closely with the estimate supplied in 2022.

Q. What is the Panel recommending for the Plant Controls Instrumentation Upgrade project?

A. The Panel recommends that the Commission reject the Company's $4 million RY1 request for the Plant Controls Instrumentation Upgrade Project.

This project is interdependent with the Nitrogen Refrigeration Cycle Replacement Upgrade and the Electrical Distribution System Upgrade. As such, due our recommendation that the Commission reject the Nitrogen Refrigeration Cycle Upgrade, we recommend the Commission reject the costs for the Plant Controls Instrumentation Upgrade. Furthermore, we are concerned that the Company's significant historical variance for this project indicates premature funding of projects that are not ready for implementation. Therefore, in addition to rejecting the Company's proposal, the Panel recommends the Company conduct further development of a detailed project schedule at this LNG facility to avoid the significant budget variance across multiple LNG categories as a result of cascading project delays.

LNG Ground Combustor Replacement Project

Q. Please describe the Ground Combustor Replacement Project.

A. Exhibit___(GIOP-1), page 109, explains that the project would replace and elevate the plant's existing ground combustor. The current height of the ground combustor is 12.27 feet relative

to North American Vertical Datum of 1988, also referred to as NAVD88, with the project proposing to raise it two feet to 14.27 feet relative to NAVD88, as described in the Company's response to DPS-812. The elevation of the ground combustor would increase ground clearance to reduce the risks to the system from environmental conditions such as flooding. This project would also upgrade the ground combustor unit itself as part of the elevation adjustment.

Q. What is the Company's proposed capital investment for this project over the rate years?

A. Page 39 of the Company's GIOP initial testimony identifies a request of $5 million in RY2.

Q. How did the Company develop its forecasted cost for this project?

A. In the Company's response to DPS-812, the Company states that it developed the cost forecast for this project through a vendor estimate. The Company further identifies that the vendor estimate only provides the cost of equipment replacement, and that the total project cost could be three to five times the cost of major equipment when including

construction and labor costs.

Q. What justification does the Company provide for the project?

A. In Exhibit___(GIOP-1), page 109, the Company identifies concerns with: (1) the ground combustor having been in service for 50 years as an original piece of plant equipment, and (2) the potential for flooding at the site blocking the air intake louvers of the ground combustor, rendering it inoperable.

Q. What is the Panel's recommendation?

A. There is not sufficient evidence to support the need for the project. The Company's first concern, related to the age of the facility, is disputed by the current operations and maintenance costs of the ground combustor. In response to DPS-812, the Company states there have been no maintenance costs for the ground combustor over the past five calendar years from 2020 through 2024. The lack of maintenance required for the ground combustor brings into question whether the age of the asset is a significant concern, considering it appears to be operating without issue. The Company's

second concern, related to flooding at the site where the ground combustor sits, is also unsubstantiated. When asked about historical flooding at the site in DPS-812, the Company identified seven days over the past five calendar years, from 2020 through 2024, when the area near the ground combustor had flooded, but failed to provide the height of those flood waters since the Company does not record flood heights during those conditions. Our concerns ultimately hinge on the fact that the Company was not able to provide recorded measurements of flood water compared to the 12.27 feet above NAVD88 of the ground combustor, coupled with the Company's inability to measure and record flood levels at the facility. Without this evidence, we cannot agree that flooding is a serious concern.

Q. What risk does the ground combustor pose if inoperable?

A. Exhibit___(GIOP-1), page 110, states that if the ground combustor was rendered inoperable, there is a risk of greenhouse gas emissions and deviation from normal operating procedures.

Notably, the boil-off gas handled by the ground combustor would have to be rerouted. However, the Company's response to DPS-812 explains that in this event, safety valves on the LNG tank would automatically operate to handle any excess boil-off. Additionally, the V-35 emergency valve, which is located at 17.803 feet relative to NAVD88, could be turned to reroute the intended gas from the ground combustor to the flare in the event the ground combustor became inoperable due to non-flooding related variables. Further, the Company has not considered alternative procedures in the event flooding made the V-35 emergency valve inaccessible that would be significantly cheaper than replacement, such as modifying the V-35 valve's location or converting it into a remotely operated valve, such that the valve could be accessible during flood conditions. Evidently, there are multiple safety procedures and contingencies to maintain safe operations of the LNG facility in the event the current ground combustor became inoperable.

Q. What does the Panel recommend for the Ground

Combustor Replacement Project?

A. We recommend rejection of the Company's proposed budget of $5 million for this project in RY2. The Company did not provide sufficient evidence to back up its claims for why the Ground Combustor Replacement Project was necessary at this time. While the Panel recognizes the ground combustor may require replacement at some point in the future due to its age, available evidence suggests that it presents no immediate threat to the provision of safe and reliable operation such that addressal in the current proceeding is warranted.

LNG Compressor Station Fire Detection Upgrade

Q. What does the Company propose regarding the LNG Compressor Station Fire Detection Upgrade?

A. As described on page 40 of the GIOP initial testimony, the Company proposes the replacement of the existing fire detection and control system at the Company's compressor station. Page 117 of Exhibit___(GIOP-1) states that the fire detection and control system at the Hunt's Point Compressor Station is over 30 years old and that some parts and services from the

original equipment manufacturer are unavailable. However, a third party is able to provide replacement components. The Company indicates that the new fire detection and control system would provide improved leak detection and repair and reduce possible greenhouse gas emissions.

Q. What is the Company's proposed capital funding and implementation date, for the LNG Compressor Station Fire Detection Upgrade for each of the three rate years?

A. As discussed in the GIOP initial testimony, the Company is proposing $2 million in RY2 and $6 million in RY3.

Q. What is the in-service date for the project?

A. According to response to DPS-826, the Company states that the project's projected in-service date is November 1, 2029.

Q. Does the Company indicate there are risk factors that could alter the implementation of the project?

A. Yes, in response to DPS-1009 the Company states the implementation of the project could be changed due to design modifications, economic factors such as material availability, and New

York City Fire Department (FDNY) permitting approval delays. Additionally, there is an operational requirement for the compressor station to be available for service from April 1 through November 1. This requirement could impact the timeline of the project by delaying construction of the fire detection upgrade.

Q. What is the Company's solicitation process and implementation schedule for this project?

A. As described in response to DPS-1009, the Company states the Request for Proposal (RFP) to obtain an engineering firm is anticipated to be issued in the first quarter of 2026. This competitive solicitation process includes requests for proposals, information, bidder conferences, field walks, and price verification of estimates. The anticipated start date for construction is November 1, 2027.

Q. How did the Company develop the budget for the project since it has not yet completed the RFP process?

A. As described in the response to DPS-809, the Company states that the methodology for creating the budget is derived from historical spending

on the fire and gas detection system at the LNG Plant and includes adjustments for differences in scope and inflation. The Company states it spent $10.2 million at the LNG Plant for the fire and gas detection systems. It also indicates that, although the project would install similar equipment, the Compressor Station Fire Detection Upgrade would be smaller in size.

Q. Panel, what is the history of this project?

A. This is a newly proposed project. However, as described in the Company's response to DPS-809, it has made capital expenditures for the current fire detection system in the past, without an approved budget, as shown in Exhibit___(SGRSP-2), page 10. The Company also provides annual maintenance costs for the current fire detection system for the years 2020 to date, with an average annual cost of maintenance of $44,782 per year, which is also shown in Exhibit___(SGRSP-2), page 10.

Q. Has the Company explored alternatives?

A. As described in Exhibit__(GIOP-1), page 118, the alternative to this capital work is to continue

to operate the compressor station as is.

Q. What are the risks if the project is not implemented?

A. The Company states in Exhibit__(GIOP-1), page 118, the risk of taking no action could be a forced station outage and safety concerns due to system malfunction.

Q. What concerns does the Panel have with this capital project?

A. As indicated in the response to DPS-815, the Company has failed at least one FDNY fire protection system test every year since 2021. Furthermore, despite the successive annual testing failures, the Company does not indicate that this project is a priority considering that the expected in-service date is outside the rate years. This brings into question the urgency of this proposed capital project.

Q. What does the Panel recommend?

A. Because this capital request is outside RY1, the RFP has yet to be issued, and the estimated in-service date for this project is November 1, 2029, the capital funding request is not in alignment with the Company's in-service date.

Therefore, we recommend that the initial capital funding for this project begin in RY2. This shift would require reducing the capital funding levels for this program by $2 million in RY2 and $4 million in RY3.

Tunnels

Q. What are utility tunnels and why are they important to the Company's infrastructure and system reliability?

A. As described on page 40 in the GIOP initial testimony, the Company's service area utilizes eight utility tunnels, which house critical electric, gas, and steam facilities, as well as fuel oil lines and communications systems. Due to the deep underground location of the utility tunnels, the Company states that this infrastructure is significantly impacted by atmospheric corrosion, water infiltration, and salt deposits. The Company further explains that there is an increased risk of structural failure, which could jeopardize the reliability of the electric, gas, and steam transmissions housed within the tunnels if the proposed projects and programs are not implemented.

Q. What is the Company proposing for the Tunnel Projects?

A. As described in the GIOP initial testimony, beginning on page 41, the Company is proposing multiple projects all pertaining to the structural integrity and reliability of tunnel infrastructure segments.

Q. Which tunnel projects and programs will the Panel discuss?

A. We will discuss the Concrete Restoration program, Astoria Elevator Modernization, and the Carbon Fiber Wrap program.

Q. What is the Company's total projected capital investment and in-service dates associated with these projects for the three rate years?

A. As described on page 41, line 8 of the Company's GIOP initial testimony, the Company is requesting $14.5 million in RY1, $18.4 million in RY2, and $16.4 million in RY3. The in-service dates vary among the proposed capital work.

Q. Describe how the Company develops its budgets for the projects and programs for this category.

A. In the Company's response to DPS-553, it states

that each of the tunnel maintenance project budgets include the total labor costs of contractors and company personnel for tasks related to the installation of new projects.

Concrete Restoration Program

Q. Describe the purpose of the Concrete Restoration program.

A. In Exhibit__(GIOP-1), starting on page 120, the Company's white paper describes that the purpose of the program is to replace structural materials in the Astoria and Ravenswood tunnels. The tunnels' concrete structure is experiencing spalling, rusted rebar, delamination, and concrete fragmentation. Both tunnels are approximately 100 years old, and the program is intended to replace or repair the damaged areas. This work would support the structural integrity and safety of the tunnels for both the housed infrastructure and employees.

Q. What is the Company's total projected capital investment and in-service date for the Concrete Restoration program for the three rate years?

A. As described in Exhibit__(GIOP-1), page 122, the Company is requesting $1 million for RY1, $1

million for RY2, and $1 million for RY3. In response to DPS-818, the Company states that the program consists of a collection of small projects and that each project is placed in-service upon completion.

Q. Describe the history of this program and the Company's historic budgets and spending.

A. In response to DPS-99, the Company stated that its historical budget was $500,000 in 2020 and $225,000 in 2023. The Company did not spend any of the budgeted capital dollars for this program in either 2020 or 2023, additionally, the Company states that it has not completed any capital work for this program from 2020 through 2025.

Q. Why did the Company not perform any work for this program?

A. The Company provides a wide range of reasons in its response to DPS-845. In DPS-845, Attachment 1, the Company states that in 2020, "construction was deferred to future years." For 2021, the Company states that the "project [was] delayed pending engineering analysis," although there was no budget assigned to the

program that year. In 2022, this program was not included in the list of capital projects. For 2023, the Company solely cites "lower than anticipated costs" as the rationale for not performing any work related to this program. In 2024, the tunnels program was not included in the list of capital projects.

Q. What is the Company's RFP process and timeline for this project?

A. As described in response to DPS-818, Attachment 1 and Attachment 2, the Company notes **BEGIN CONFIDENTIAL INFORMATION <** [redacted] **> END CONFIDENTIAL INFORMATION.** Also, as described in response to DPS-1009, the Company states that an RFP for the engineering services related to this project is anticipated to be issued in the last quarter of 2025.

Q. How does the proposed rate year budget compare to the historical budgets for this project?

A. As discussed earlier, the proposed capital budget for this program is $1 million for each

rate year, totaling $3 million. This is approximately three times the historical budget levels, despite no actual spending, as shown in Exhibit___(SGRSP-2), page 11.

Q. How did the Company develop its forecasted budget?

A. In its response to DPS-597, the Company states it is unable to provide the specific methodology used to the develop the budget for this program and also states that the specific completion timeline for the engineering analysis has not yet been determined. Additionally, in DPS-553, Attachment 1_Tunnels Capital Project Workpapers, the Company provides a list of capital costs. However, it is unclear how these costs were generated without the completion of a third-party engineering analysis.

Q. Has the Company explored alternatives for the program?

A. Yes, in the Company's white paper, Exhibit__(GIOP-1), page 120, the Company states that the alternative is to perform only essential repairs as needed, but that it does not prefer this alternative as essential repairs

would impact the O&M budget and employee safety would be at risk.

Q. What are the Panel's concerns?

A. Based on our earlier discussion regarding the Company's historical performance for this program, the unclear timeline for the engineering analysis, and the continuous de-prioritizing of implementing the capital work, it is unlikely that the Company would prioritize and complete the scope of work for the program within each of the rate years. Further, as we explained earlier, the Company fails to provide supporting analysis and documentation to justify the $3 million in total capital funding requests for this program.

Q. What does the Panel recommend?

A. Although we support the need for this capital program, however, it is highly unlikely to be implemented based on the Company's historical performance in this program. Therefore, we recommend that the Commission deny the requested funding for this program.

Astoria Elevator Modernization

Q. Summarize the purpose of the Astoria Elevator

Modernization project.

A. As described in Exhibit__(GIOP-1), starting on page 123, the capital work for this project would provide a new code compliant elevator installation in the Queens shaft of the Astoria tunnel. The current elevator is in the 262 feet deep Queens shaft and has key components dating back to 1976. The Company states that an elevator consultant recommended a complete modernization of the elevator's operational and motion control systems and all hoist way and door components. The white paper further states that the modernization should include relocating the control system to the same room as the driving machine and replacing the steel support structure. Additionally, the consultant estimated the remaining life of the key components, such as operational controls, motion controls, governor, and driving machine is zero to four years.

Q. Did the Company provide the Panel with the scope of work completed by the elevator consultant?

A. No, as described in response to DPS-597, the Company states that the documented scope of work

provided by the elevator contractor was completed many years ago and the Company claims it is unretrievable. The Company further stated its project plans are based on the Company's on-going assessments of this equipment.

Q. What risks are there by not completing the project and does the project deliver operational improvements?

A. As described in in Exhibit__(GIOP-1), page 124, the Company indicated that the alternative to the project is use the existing ladders and landings to enter and exit the tunnel, which poses an increased risk of injury to employees.

Q. What is the Company's total projected capital investment for the Astoria Elevator Modernization project for the three rate years?

A. As described in Exhibit__(GIOP-1), page 125, the white paper includes a proposed budget of $750 thousand in RY1, $5 million in RY2, and $3 million in RY3.

Q. How did the Company develop its forecasted cost?

A. In the response to DPS-597, the Company states that it is unable to provide the specific methodology used to the develop the budget for

the project. In response to DPS-553, Attachment 1_Tunnels Capital Project Workpapers, the Company provides a list of capital costs. however, it is unclear how these costs were generated without the completion of the third-party engineering analysis or access to the previously completed original scope of work document. Additionally, in the response to DPS-818, the Company states that the forecasted cost has not yet been provided by the third-party engineering firm and that work has not yet been completed in this budget area.

Q. Did the Company include a contingency for this capital budget?

A. Yes, as described in the Company response to DPS-818, the Company includes a ten percent contingency on the overall cost of the project.

Q. Describe the historical funding of this project.

A. As provided in the response to DPS-99, the Company indicates the project had a budget of $3 million in 2021 and a budget of $600,000 in 2023. There was no budget for 2022 and 2024. Thus, as shown in Exhibit___(SGSRP-2), page 12, the total budget over the 2020 through 2024

period was $3.6 million with a total spend of $494,000.

Q. What is the projected date for the engineering analysis to be completed?

A. In response to DPS-597, the Company states that the specific completion timeline for the engineering analysis has not yet been determined.

Q. Did the Company complete a competitive solicitation process for this capital project?

A. Yes. In response to DPS-1009, the Company states that in 2023 the engineering firm's bid for this project was accepted via a competitive solicitation process that ensures the lowest cost to ratepayers and included pricing verification.

Q. When is the expected in-service date for the project?

A. In its response to DPS-818, the Company states that it expects the completion and in-service date for this project to be approximately four years after its inception.

Q. What are the Panel's concerns?

A. As we discussed earlier, an engineering analysis

has yet to be completed for the proposed capital work. In addition, the Company filed to provide an explanation of how the specific project budget was developed in response to DPS-597, which asked the Company to provide all relevant analysis used in creating the project budget. The Company also does not include the source of the cost estimates and fails to provide the engineering firm's bid from 2023. Therefore, the Company's expected timeline for this project is not reasonable given the lack of historical prioritization of the project, increasing the likelihood that the work would not be completed within the expected timeline.

Q. What does the Panel recommend?

A. The Panel recommends the Commission deny funding for this capital project and reduce the total capital budget by $750,000 in RY1, $5 million in RY2, and $3 million in RY3.

Carbon Fiber Wrap Program

Q. Summarize the purpose of the Carbon Fiber Wrap Program.

A. In Exhibit__(GIOP-1), starting on page 135, the Company's white paper describes the on-going

annual program to wrap the dielectric fluid filled electric transmission feeder and associated oil return lines with carbon fiber. The Company states the fiber wrap is superior to the wax tape.

Q. What is the Company's proposed capital funding for each of the three rate years?

A. As described in Exhibit___(GIOP-1), page 137, the Company is proposing capital funding of $10 million in RY1, $10 million in RY2, and $10 million in RY3.

Q. What is the Company's justification to switch from the wax tape to the carbon fiber wrap?

A. In response to DPS-817, the Company states that the Carbon Fiber Wrap program was implemented in 2018 and that it improves tensile strength, structural stability, and performance, compared to the wax tape method used to protect electric transmission lines prior to 2018.

Q. Is any of the gas system infrastructure included in the Carbon Fiber Wrap program inventory?

A. No, as described in the response to DPS-817, the Company's gas piping is not included in the program nor is any of the gas infrastructure.

Q. Does the Panel support this capital cost being borne to gas rate payers?

A. No, the Panel does not support this program as the proposed capital work described is for electric feeders. Additionally, in Case 22-G-0065, on page 70, line 6 of the Company's Gas Infrastructure, Operation and Supply Panel initial testimony, the Company states that gas operations have historically been responsible for the maintenance of the tunnels and capital expenditures associated with improvement projects that have been paid for by gas customers, including O&M expenses for maintenance of the tunnels. The Company states that it is exploring a re-organization to place the Tunnel Maintenance group under Central Operations, which would shift capital and O&M costs to electric customers. In Case 22-G-0065, page 6 of the Company's GIOP update/correction testimony, the Company states it conducted internal research and determined that the current internal accounting practices already divide the tunnels maintenance expenses across multiple commodities and applicable rates and

that changes associated with the Tunnel Maintenance group were not required to be present as part of the filing.

Q. What does the Panel recommend?

A. Due to the project being solely associated with the electric system, we recommend that the Commission deny funding for this capital project and reduce the total capital budget by $10 million in RY1, $10 million in RY2, and $10 million in RY3.

Customer Connections

Q. Please describe the Customer Connections program as proposed by the Company.

A. According to page 87 of Exhibit___(GIOP-1), the Customer Connections program funds the installation of mains and services needed to provide gas supply to customers requesting new or additional gas loads to the Company's gas system to meet its obligations under the Public Service Law and gas tariff.

Q. What is the Company's proposed budget for this program?

A. On page 33 of the initial testimony of the GIOP, it proposes capital investments of $72 million

in RY1, $63 million in RY2, and $58 million in RY3.

Q. Do you have any concerns regarding the capital budgets for the Customer Connections program as proposed by the Company?

A. Yes, the Company has not adequately considered the effect New York City's Local Law 154 (LL154) may have on the number of customer connections for new buildings in the rate years.

Q. Please describe Local Law 154.

A. Local Law 154 prohibits the onsite combustion of fossil fuels in new buildings for cooking, space heating and service hot water in the New York City service area. The law applies to new buildings under seven stories starting December 31, 2025, and all new buildings starting July 2, 2027.

Q. How is this related to the Customer Connections program?

A. This law implies that customer connections for new buildings under seven stories will decrease sharply as applications for gas service filed will be denied in 2026 and the first half of 2027. For the second half of 2027 and all of

2028, there will be no applications accepted for new gas service connections for all new buildings. Some buildings, such as those considered affordable housing, are exempt from LL154 for some parts of 2026 through 2028.

Q. Westchester is outside of New York City. Will the Company still experience lower customer connections similar to the New York City boroughs?

A. Yes. While Local Law 154 will not affect customer connections in Westchester County, the all-electric buildings law will impact new construction. Similar to Local Law 154, the all-electric buildings law will phase out gas service requests for most new construction in New York State over the coming years. Starting in 2026, gas requests for new buildings under seven stories tall will be denied, with certain exemptions.

Q. How does the Panel estimate the effect of LL154 and the all-electric buildings law will have on customer connections in the Company's service area for 2026 and the first half of 2027?

A. The Panel first determines how much capital the

Company would require for customer connections without Local Law 154. The Panel does this by taking the five-year historical average from 2020 to 2024 for services and main installs in each borough and multiplying each by the Company's projected cost per foot of main and cost per service for every borough, except for the Westchester foot per main for 2026 and the first half of 2027. For 2026, this figure is $75.584 million. We assessed the cost per foot of Westchester main as too high relative to historical spending. From 2020 through 2024 the average cost per foot of main was $516.17. However, the Company's projected cost per foot of main in Westchester is significantly higher at $830 in 2026, and $820 in both 2027 and 2028. Therefore, the Panel calculates Westchester's main cost by taking the 2020 through 2024 inflation adjusted historical average cost per foot of Westchester main. The Panel's adjusted cost per foot of main installed in Westchester is $546.98 in 2026, $560.11 in 2027, and $572.43 in 2028. Next, the Panel looks at the average number of services and feet of main that went

towards new buildings under seven stories over the past five years for each borough. We then multiply this figure by the Company's projected 2026 and 2027 cost per main and cost per service for each respective borough, excluding the cost per foot of Westchester main, which we calculate separately. For 2026, this figure is $16.768 million. We then subtract this figure from the original Customer Connections budget derived earlier. The resulting numbers provide us with the adjusted budget for 2026 and the first half of 2027. For 2026, we subtract the original budget of $75.584 million by the adjustment caused by Local Law 154 of $16.768 million, to get a recommended budget of $58.816 million. While there are certain caveats and exemptions to the two laws, this method gives us an approximate calculation for how LL154 and all electric building law will affect the number of services and feet of main constructed in the coming rate years. The information used for these calculations was obtained from the Company's responses to DPS-332 and DPS-397.

Q. How does the Panel estimate the effect that

LL154 and the all-electric buildings law will have on customer connections in the Company's service territory for the second half of 2027 and all of 2028?

A. The Panel applies a similar method to determine needed capital for customer connections as the method employed for 2026 and the first half of 2027. However, instead of adjusting capital expenditures associated with new buildings under seven stories, the Panel removes the budget related to all services and mains associated with all new buildings, totaling $17.266 million in the second half of 2027 and $34.496 million in 2028, from the Company's proposed budget.

Q. Based on your analysis, what budget does the Panel recommend for this program?

A. We recommend $58.816 million for RY1, or $13.57 million lower than the Company's proposal, $47.092 million for RY2, or $16.454 million lower than the Company's proposal, and $34.693 million for RY3, or $23.175 million lower than the Company's proposal.

Advanced Metering Infrastructure Enabled Natural Gas Detectors

Q. Please describe the Advanced Metering Infrastructure Enabled Natural Gas Detector (AMI Enabled NGD) program proposed by the Company.

A. AMI Enabled NGDs are safety devices used by the Company to quickly alert the Gas Emergency Response Center (GERC) of potential natural gas leaks in the service area. The detectors communicate to the GERC through the Company's AMI network. The AMI Enabled NGD program funds the purchase and installation of natural gas detectors for locations that do not have these detectors or that need a detector replaced. The program also funds AMI network expansion initiatives intended to improve the communication of natural gas detectors.

Q. Describe the safety benefits of these detectors to gas customers.

A. The use of natural gas detectors allows emergency responders from Gas Distribution Services to become aware of potential gas leaks and quickly respond to the situation. Without a natural gas detector, the Company would need to rely on its periodic leakage survey efforts, or a leak or odor report by a member of the public.

These efforts, as described by the Staff Gas Safety Panel, are not timely or sufficient and pose significant risk.

Q. What is the Company's proposed budget for this program?

A. On page 31 of the GIOP initial testimony, the Company proposes $34.2 million in RY1, $31.5 million in RY2, and $29.7 million in RY3.

Q. Do you have any concerns regarding the capital budget for this program as proposed by the Company?

A. Yes. The Panel has concerns with the Company's forecasted unit installation costs of $485 in 2026, $495 in 2027, and $505 in 2028, which were provided in the response to DPS-367. These costs are significantly higher than historical unit installation costs. From 2020 through 2024, the average unit installation cost for the detectors is $227, $448, $60, $300, and $473, respectively.

Q. Why did unit installation costs for natural gas detectors substantially change over the years?

A. The Company provides two main reasons why unit installation costs for the detectors increased

over the latter years. First, as explained in response to DPS-641, the Company initially used only contract resources to install the AMI Enabled NGDs. However, in both 2023 and 2024 the Company started to partially rely on Company resources to install AMI-NGDs. The response to DPS-850 shows the unit cost to install a natural gas detector using Company resources in 2024 was $884 per detector installed. Comparatively, the unit install cost using contract resources was only $325 per detector installed in 2024. Since Company resources were used for 28 percent of all detector installations in 2024 and 14 percent in 2023, as seen in the response to DPS-850, the use of Company resources has a significant effect on the unit install cost in both of those rate years. Second, the average number of installation attempts needed to successfully install AMI Enabled NGDs has increased in recent years, leading to increased costs, which we will discuss in further detail later.

Q. Does the Panel recommend that the use of Company resources for detector installations should continue?

A. No. The Panel recommends that the Company use only contract resources to install natural gas detectors going forward. We maintain that it is inappropriate to spend around two and a half times the necessary amount to install detectors using Company resources rather than contract resources.

Q. Please explain the second reason, the increasing number of attempts, the Company provided for why the unit installation cost has changed over the years?

A. The second reason the Company provided for the increase in installation cost was the number of installation attempts needed to install a single natural gas detector. As provided in DPS-641, the average number of attempts per installation increased from 1.25 in 2020 to 3.4 in 2024. The Company attributes the increased number of installation attempts to customers either directly refusing AMI Enabled NGD installations or not being available for scheduled installs.

Q. Does the Panel believe high numbers of installation attempts will continue to be an issue from 2026 through 2028?

A. No. AMI Enabled NGD installations for rate years 2026 through 2028 would primarily be for replacements due to dead batteries, according to the Company's response to DPS-850. The gas customers that already have the detectors installed would be less likely to refuse detector replacements as they already gave permission to install the detector previously. Therefore, we expect that high installation attempts would not significantly increase detector installation costs in the coming rate years.

Q. What is the Panel's adjusted unit installation cost for 2026 through 2028?

A. As explained earlier The Panel believes that the two main reasons driving up AMI natural gas detector costs in 2023 and 2024 should not affect unit installation cost from 2026 through 2028. Therefore, the Panel disagrees with the Company's proposed unit installation costs from 2026 through 2028, as they are similar to those

seen in both 2023 and 2024. The Panel's adjusted unit installation cost for AMI natural gas detectors was $301.0 for 2026, $314.8 for 2027, and $316.6 for 2028. This was determined by taking the inflation adjusted average unit installation cost from 2020 through 2024. For rate years 2023 and 2024, the Panel used the average installation cost using only contract resources in the historical average, which were $235 and $325, respectively, as provided in response to DPS-850 and DPS-975. The Company should only be using contract resources for its AMI natural gas detector installations in future rate years, as they are significantly more cost efficient.

Q. How did the Panel apply inflation when calculating the historical average?

A. To get the historical average in 2024 dollars we inflated the 2020, 2021, 2022, and 2023 AMI natural gas detector installation costs by 18.800 percent, 16.021 percent 10.057 percent and 3.396 percent, respectively, then averaged the 2024 actual spend with the inflated 2020, 2021, 2022 and 2023 actual spend. The five-year

historical average was then inflated by 5.637 percent for 2026, 8.525 percent for 2027, and 11.111 percent for 2028. The inflation factors we used are the forecasts of the Gross Domestic Product – Price Index in the April 2025 Issue of the Blue Chip Economic Indicators.

Q. Does the Panel have any other concerns regarding the capital budget for this program as proposed by the Company?

A. Yes. We are concerned with the amount of capital budgeted for network expansion initiatives. In response to Question 1 of DPS-367, the Company states that "1.15% of the total population of AMI-enabled natural gas detectors will require network expansion." The Company derived the 1.15 percent figure from the total sensor and communication failures received from 2020 through 2024. However, according to Con Edison's response to DPS-1055, not all the failures the Company recorded were rectified through network extension, as some of the failures were due to tampering or destruction by customers, and others were resolved without network extension. Additionally, in response to

Question 1 of DPS-1055, the Company states that an investigation into communication failures revealed that only 967, or 21 percent, of the 4,574 communication failures required network extension. Based on this investigation, we determine that only 0.2415 percent of all detectors require network extension to communicate properly. This was derived by multiplying the 1.15 percent of communication failures for all detectors by the 21 percent of communication failures that required network extenders. By multiplying the total amount of gas services that have AMI Enabled natural gas detectors, 379,888, by the percentage of detectors that need network extenders, 0.2415 percent, we determined that only 649 detectors need network extenders. According to DPS-367, the Company already bought 852 network extenders in 2024 and plans to buy 1,694 network extenders in 2025. This means that the Company would have more than enough network extenders for rate years 2026 through 2028, rendering further capital for network extension is unnecessary.

Therefore, the Panel recommends removing all capital for network extension in this program.

Q. Based on your analysis, what budget does the Panel recommend for this program for the three rate years?

A. The Panel recommends $22.187 million for RY1, or $11.978 million lower than the Company's proposal, $21.047 million for RY2, or $10.466 million lower than the Company's proposal, and $19.533 million for RY3, or $10.148 million lower than the Company's proposal. We determined the recommended capital budget for each rate year by multiplying the Company's projected number of AMI natural gas detector purchases by the sum of the Company's projected unit cost of an AMI natural gas detector and the Panel's adjusted unit installation cost. We did not add capital for network extension to the recommended budget as we recommend cutting that part of the project all together.

Meter Purchases

Q. Please describe the Meter Purchases program as proposed by the Company.

A. According to pages 144-147 of Exhibit__(GIOP-1), this program funds the purchase of metering equipment for new customer connections and program replacements. This includes large commercial and industrial metering equipment, diaphragm meters, pressure regulation devices, gas measurement support, and AMI meters.

Q. What is the Company's proposed budget for this program?

A. As seen on page 147 of Exhibit__(GIOP-1), the Company proposes $12.764 million in RY1, $12.764 million in RY2, and $12.764 million in RY3 for the Meter Purchases program.

Q. Does the Panel have any concerns regarding the capital budget for the Meter Purchases program as proposed by the Company?

A. Yes. The Panel is concerned with the number of meters purchases the Company projects for meter replacements. In response to DPS-378, the Company states it forecasts 9,000 meter purchases for each rate year from 2026 through 2028. This is significantly higher than previous year program replacement meter purchases, which, from 2020 through 2024,

averaged only 7,290 per year, as stated in DPS-378.

Q. What number of meter purchases does the Panel recommend for program replacements?

A. We recommend the Company purchase 7,290 meters each year from 2026 through 2028. This was determined by taking the five-year historical average number of meter purchases from 2020 through 2024, as provided in the Company's response to DPS-378.

Q. Based on your analysis, what rate year budgets does the Panel recommend for this program?

A. We recommend $12.222 million for RY1, or $0.542 million lower than the Company's proposal, $12.222 million for RY2, or $0.542 million lower than the Company's proposal, and $12.222 million for RY3, or $0.542 million lower than the Company's proposal. We determined our recommended capital budget for each rate year by multiplying the Company's projected cost per meter by our adjusted number of meter purchases.

Meter Installations

Q. Please describe the Meter Installation program as proposed by the Company.

A. On page 148 of Exhibit__(GIOP-1), the Company states that this program funds the installation of gas meters for meter replacements, new customer connections, and existing customer connections. The installation of meters is mandatory work under to Commission regulation, 16 NYCRR §266 and Con Edison's Gas Tariff.

Q. What is the Company's proposed budget for this program?

A. As seen on page 150 of Exhibit__(GIOP-1), the Company proposes $22.2 million in RY1, $22.2 million in RY2, and $22.2 million in RY3.

Q. Does the Panel have any concerns regarding the capital budget for the Meter Installation program as proposed by the Company?

A. Yes. The Panel is concerned with the number of meter installations the Company is proposing for program replacements. As we discussed previously, while addressing the Meter Purchases program, only 7,280 meters are forecasted for program replacements from 2026 through 2028. Similarly, only 7,280 meters should be forecasted to be installed, as the number of meter purchases and meter installations should

be correlated.

Q. Does the Panel have any other concerns regarding the capital budget for the Meter Installation program as proposed by the Company?

A. Yes. The Panel is also concerned with the Company's forecasted cost per installation of $1,242, which is significantly larger than the 2021 per unit installation cost of $527.

Q. What were the unit installation costs from 2022 through 2024?

A. As seen in the Company's response to DPS-378, the unit installation costs from 2022 through 2024 were $752, $1,124, and $1,861, respectively.

Q. Does the Panel believe that the high installation costs seen from 2023 through 2024 will continue from 2026 through 2028?

A. No. According to the Company's response to DPS-732, the increase in installation costs from 2023 through 2024 were associated with the AMI Deployment project, which ended in 2023. Since the AMI deployment project has ended, it will not continue to drive up meter installation costs. Therefore, while higher costs for meter

installations will continue, they will not be nearly as high as the installation costs seen in 2023 through 2024.

Q. What is the Panel's recommended unit installation cost?

A. The Panel recommends a unit installation cost of $820 in RY1, $839 in RY2, and $859 in RY3. The Panel determined these costs by taking a five-year historical average of the Company's inflation adjusted installation costs from 2018 through 2022.

Q. How did the Panel apply inflation when calculating the historical average?

A. The Panel employed the same inflation adjustment method as seen in the Panel's AMI Enabled natural gas detector capital adjustment.

Q. Why did the Panel not use the years 2023 through 2024 to determine the Company's annual installation cost?

A. The years 2023 through 2024 were excluded from the Panel's calculation since the end of the AMI Deployment project significantly increased meter installation costs in both years. In the Company's response to DPS-732, it stated the end

of the AMI Deployment project in 2023 resulted in 4,000 small diaphragm legacy meters remaining for upgrade. According to the Company, higher installation costs were incurred for these meters as company personnel had issues obtaining access to customer's premises and/or associated metering equipment. As stated in the response to DPS-732, since this project is already complete, it will no longer affect installation costs from 2026 through 2028. Therefore, we recommend that the installation costs from the years during the end of the AMI Deployment project not be used in determining the average installation cost for future rate years.

Q. Based on your analysis, what rate year budgets does the Panel recommend for this program?

A. The Panel recommends $14.296 million for RY1, or $10.554 million lower than the Company's proposal, $14.687 million for RY2, or $10.162 million lower than the Company's proposal, and $15.037 million for RY3, or $9.813 million lower than the Company's proposal.

Alternate Gas Emergency Response Center

Q. Please describe the Alternate Gas Emergency

Response Center (GERC) Relocation project as described by the Company.

A. Page 163 of Exhibit___(GIOP-1) explains that the Alternate GERC Relocation project involves the re-purposing and renovation of an existing space for a new Alternate GERC. The Company claims that the current Alternate GERC lacks the proper equipment and space to adequately respond to emergencies in the event that the Primary GERC is unusable. The Company also states that the current Alternate GERC is too far away from the Primary GERC and that a relocation to a closer site would be beneficial.

Q. What is the Company's proposed budget for this program?

A. As discussed on page 47 of the Company's GIOP initial testimony, the Company proposes $8.5 million in RY1, $4.5 million in RY2, and nothing in RY3.

Q. Do you have any concerns regarding the capital budget for the Alternate GERC relocation project as proposed by the Company?

A. Yes. The Panel found that the capital for comparable projects to the Alternate GERC were

considerably less than the Company's proposed budget. For example, according to DPS-914, the Alternate Gas Control Center, which was 2,641 square feet and had 14 workstations cost $8.5 million.

Q. Based on your analysis, what budget does the Panel recommend for this program?

A. Based on the capital budgets of comparable projects and adjusting for inflation, the Panel recommends a RY1 budget of $4.544 million, or $3.956 million less than the Company's RY1 proposal, and a RY2 budget of $4.749 million, or $.249 million more than the Company's RY2 proposal.

Q. How does the Panel apply inflation when calculating the historical average?

A. The Panel employs the same inflation rates for 2026 and 2027 discussed in the Panel's AMI Enabled natural gas detector capital adjustment.

Capital Reporting Requirements

Q. Is the Company currently required to file reports related to its capital expenditures?

A. Yes. The Company's current reporting

requirements are outlined in Appendix 12 of the Joint Proposal filed in Case 22-G-0065, which were adopted by the Order Adopting Terms of the Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements (2023 Rate Order), issued July 20, 2023.

Q. Please summarize the current requirements.

A. The Company is required to file reports under Case 22-G-0065 every six months. These reports include, among other information, a summary of the Company's capital expenditures to date, a comparison of actual capital expenditures to those included in the Joint Proposal, a narrative explanation for any variances between actual and Joint Proposal expenditures that exceed ten percent, and a narrative explanation of any new projects that exceed $1 million. The reports are filed by February 28 and August 31 each year.

Q. Do you recommend any changes to that reporting?

A. Yes. We recommend that the Commission require the Company to increase the frequency of this reporting from twice per year to quarterly. Specifically, we recommend the Commission direct

the Company to submit this reporting within 45 days of the end of each of the first three quarters of each calendar year and submit an annual filing within 60 days of the end of each calendar year.

Q. Why should the frequency of reporting be increased?

A. Quarterly reporting allows the Company and Department of Public Service Staff (Staff) to better communicate during a potential multi-year rate plan regarding changes to the capital program. This increased frequency in reporting will allow for more transparency in the Company's capital planning process for all parties. Changes to capital projects and programs for emerging issues is a typical part of the capital planning process; quarterly reporting improves the communication around these changes.

Q. Do you have any other recommendations regarding capital reporting?

A. Yes. We recommend that the Commission direct the Company to file on April 1 of each year a report detailing its forecasted five-year

capital plan. This report must include a list of planned projects for each calendar year over the next five years, a status of internal approvals for each project, the forecast cost of each project, and a brief project description.

Q. Do you recommend a cost threshold for projects in this five-year capital plan?

A. Yes. To keep the project list manageable, we recommend that only projects over $1 million in total cost be included in the five-year capital plan.

Q. Must the Company include Excel workpapers with its capital reports?

A. Yes, for ease of use, each capital report must include excel workpapers that show the capital variance data.

Q. Do you have any other recommended changes to the current capital reporting requirements?

A. No, we do not.

Gas Long-Term Planning Proceeding

Q. Has the Company filed a long-term plan in the Gas Planning Proceeding in Case 23-G-0147?

A. Yes. The Company filed its final long-term plan pursuant to the Gas Planning Proceeding on

November 29, 2023. The Commission addressed the Company's long-term gas plan and required further actions in the Commission's Order Regarding Long-Term Natural Gas Plan and Requiring Further Actions, issued September 20, 2024, in Case 23-G-0147 (Gas Planning Order).

Q. What further actions did the Commission require in the Gas Planning Order?

A. The Commission ordered the Company to (1) develop a detailed and disaggregated perspective regarding customer counts and annual use per customer, (2) provide a de-contracting framework for supply assets including peaking contracts, (3) file a specific definition of hard-to-electrify customers for each service territory, (4) file a proposal for at least one demand response program within 120 days, (5) include the annual participation rates in energy efficiency programs and total energy savings in dekatherms and million British thermal units by program and their impact on use per customer in each annual update, (6) include information in their next long-term plan filing in 2027 regarding increases in electric load due to

electrification of space and water heating and any reliability impacts, (7) provide a no-infrastructure scenario in their next long-term plan filing, (8) develop and file a NPA deployment plan for stakeholder comment within 120 days, (9) file a report that identifies all segments of pipe subject to PHMSA regulations regarding traceable, verifiable, and complete records to substantiate current maximum allowable operating pressure and the pipes that need testing and/or replacement to maintain current maximum allowable operating pressure within 120 days, (10) file a report regarding benefits to and impacts on disadvantaged communities of their long-term plan within 120 days, (11) file a bill impact analysis that reflects reduced natural gas usage by a representative gas customer over a 20-year period for every service classification including interruptible customer classes, and (12) perform an optimization process to identify a preferred pathway and use that optimization process to provide scenarios for the next long-term plan filing in 2027, including the one

scenario designated as the chosen long-term plan.

Q. Has the Company made any proposals related to the Gas Planning Order?

A. Yes, on pages 58 through 60 of the Clean Energy Transition Panel's initial testimony, the Company requests $7 million in RY1 and $3 million in RY2 for a multivariable optimization process. The Company proposes deferring the recovery of these costs to later years.

Q. Please describe the multivariable optimization process.

A. Page 59 of the Company's Clean Energy Transition Panel initial testimony details the multivariable optimization process, through which the Company seeks authorization to purchase proprietary data, purchase or develop analytical tools, retain outside experts to assist with areas beyond the Company's core expertise, and/or hire additional staff to oversee and perform work. The Company asserts that it would need the multivariable optimization process to deliver on the long-term plan requirements set forth by the Commission,

such as to enable the Company to address the no infrastructure scenario.

Q. How did the Company develop the forecasted cost for this proposal?

A. The Company stated on page 59 of the Clean Energy Transition Panel initial testimony that they are still developing the work scope and do not have a firm cost estimate. In response to DPS-544,which asked how Con Edison developed the $10 million estimate, the Company claimed its estimate was an order of magnitude estimate based on prior experience with consultants on studies and models. Furthermore, the Company explained its intent to issue an RFP to solicit cost estimates wherever possible, though it has not issued any competitive solicitation at this point for the multivariable optimization process.

Q. Does the Panel have any recommendations regarding the multivariable optimization process?

A. The Panel recommends the Commission reject the $10 million estimate for the process. Authorizing the use of $10 million for the

project without any proper estimation process outside of an interdisciplinary order of magnitude evaluation is not a sensible approach. The Panel recognizes that a deferral mechanism is necessary to complete the requirements set forth by the Gas Planning Order, however, approval of such a high deferral amount should not be considered without a competitive solicitation.

Non-Pipe Alternatives

Q. What efforts is the Company taking regarding non-pipes alternatives?

A. The Commission directed the Company was given directives to establish a NPA program in its May 12, 2022 Order Adopting Gas Planning Process in Case 20-G-0131, Proceeding on Motion of the Commission in Regard to the Gas Planning Proceeding. The Commission ordered the Company to continue efforts on its NPA program in its July 20, 2023 Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements in Case 22-G-0065, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of

Consolidated Edison Company of New York, Inc. for Gas Service. The Company has since established and expanded its NPA Program to three sub-programs that address different NPA opportunities.

Q. What are the three sub-programs associated with the Company's NPA program?

A. The Company's three NPA programs are the Electric Advantage program, formerly referred to as the Full Building Electrification Program, the Energy Exchange program, and the Area-Load Relief program.

Q. Could you briefly describe the Electric Advantage Program?

A. The Electric Advantage program, discussed on pages 51 and 52 of the initial testimony of Con Edison's Clean Energy Transition Panel, focuses on NPA opportunities associated with the removal or retirement of leak prone gas main on the gas system. When the Company determines which leak prone gas main it would remove as part of their Distribution Integrity Management Program, the Company checks if an NPA solution is viable for that segment through benefit-cost analysis

conducted by the Company's engineering group. If the segment of leak prone gas main is viable for an NPA, then the Company begins outreach to move forward with an NPA solution.

Q. How many NPA solutions has the Electric Advantage Program implemented?

A. On pages 51 and 52 of the Company's Clean Energy Transition Panel initial testimony, it asserts that since inception, the program has completed 19 building electrifications across 14 different gas mains out of 300 total opportunities across 235 buildings. However, the Company provides conflicting information in its response to DPS-561 where it states that 21 buildings with 25 customers have been electrified using NPAs.

Q. What challenges has the Electric Advantage program encountered during the implementation of NPAs?

A. The Company mentions on page 52 of the Clean Energy Transition Panel initial testimony that NPA opportunities under the Electric Advantage program are challenged by the need for customer buy-in along all segments of a retired pipe for an NPA solution to be viable. The Company found

that in 70 percent of all opportunities, customers either declined to participate or gave no response to Con Edison, thus ending the opportunity.

Q. What forecasted growth does the Company anticipate for the Electric Advantage program?

A. The Company states in the response to DPS-561 that forecasting growth is uncertain due to the limited history of the program.

Q. Briefly describe the Energy Exchange program?

A. The Energy Exchange program is discussed on pages 52 through 53 of the Clean Energy Transition Panel initial testimony. It offers electrification opportunities to customers on pre-1972 services, also referred to as leak prone services, while working complimentarily with existing Con Edison programs. The program began in August 2024 and has assessed 1,900 gas customers eligible for conversion who have low gas usage, opted into the Clean Heat Program, and are located in disadvantaged communities. This is a relatively new program so there is limited data available to report on performance.

Q. What forecasted growth does the Company

anticipate for the Energy Exchange program?

A. The Company states in DPS-561 that forecasting growth is uncertain due to the limited history of the program.

Q. Briefly describe the Area Load Relief program.

A. The Area Load Relief program discussed on pages 52 through 53 of the Company's Clean Energy Transition Panel initial testimony aims to implement NPA opportunities in areas with pressure or load concerns as an alternative to gas infrastructure upgrades or gas moratoriums.

Q. How many NPA solutions has the Area Load Relief program implemented?

A. The Area Load Relief program has not made any NPA conversions since its inception. Page 53 of the Clean Energy Transition Panel initial testimony explains how the Company identified an area load relief opportunity in the Soundview portfolio of their gas system and were able to implement some energy efficiency related measures before Con Edison's engineering division determined that load relief was no longer necessary based on future projections.

Q. What proposals is the Company making regarding

their NPA programs?

A. The Company requests in Exhibit___(CES-6), page 37, the expansion of the NPA team through the hiring of six additional full-time equivalents, or FTEs. The Company proposes to hire three FTEs to assist with designing and evaluating new or existing NPA subprograms and three FTEs to meet with stakeholders to facilitate projects and educate the community on NPAs. The response to DPS-562 provides additional information on the request for six additional FTEs.

Q. What additional information was provided by the Company regarding the FTEs?

A. The Company's response to DPS-562 further describes the positions of those FTEs, and their proposed hiring year, as one Strategy Manager in RY1, two Strategy Senior Specialists in RY1, one Operations Senior Specialist in RY1, one Operations Senior Specialist in RY2, and one Operations Senior Specialist in RY3. The salaries for these positions were developed based on average labor salary, job titles, FTE count and inflation year-over-year according to the Company's response to DPS-562.

Q. What does the Panel recommend in regarding the Company's request for six NPA FTEs?

A. The Panel recommends the Commission reject the Company's request for six new NPA FTE's. While the NPA program is valuable in encouraging and facilitating the electrification of gas customers to meet state objectives, there is not enough supporting evidence to justify nearly doubling their existing FTEs. The Company was unable to speak to future growth opportunities in either its Electric Advantage or Energy Exchange programs nor was it able to explain why their existing employees could not handle existing workloads. When assessing this information alongside the Company's forecast for no NPA associated area load-relief programs, it becomes apparent that the current staff, with the elimination of area-load relief work, should be able to allocate hours adequately to meet workloads in the other two NPA subprograms.

Differentiated Natural Gas

Q. Please define differentiated natural gas.

A. Differentiated natural gas, also known as responsibly sourced natural gas, is natural gas

derived in a manner that is certified to have decreased environmental impacts and lower greenhouse gas emissions. Certification is provided by a third-party company specialized in emissions mitigation through qualitative or quantitative practices. Compared to traditional natural gas, differentiated natural gas is purported to be a lower carbon alternative due to these practices.

Q. What is the Company proposing regarding differentiated natural gas?

A. On page 27, line 17 of the Gas Supply Panel, the Company proposes to continue the Differentiated Natural Gas Procurement Pilot Program as defined in the previous rate proceeding.

Q. Does the Panel have concerns regarding the continuation of the Pilot Program?

A. Yes, we do not believe the continuation of the Pilot Program is in the best interest of rate payers. The Differentiated Gas Pilot Program was initiated as a knowledge gathering effort to better understand the utility procurement process for Differentiated Gas alongside potential benefits to portfolio diversification

and emissions mitigation. The Pilot Program has provided sufficient reporting to the Commission to meet the knowledge gathering goals the pilot program set out to accomplish. In short, there has been a deficiency in emission reduction assurances through Differentiated Gas procurement. Specifically, the inconsistent and variable approaches to verifying and calculating the emissions impact of Differentiated Gas compared against traditional gas purchases leaves doubt as to the benefits provided to ratepayers through this program.

Q. What does the Panel recommend?

A. The Panel recommends the Commission reject the proposal to continue the Differentiated Natural Gas Procurement Pilot Program. Additionally, should customers want to purchase DNG they may do so via their direct marketer, or Energy Services Company (ESCO).

Renewable Natural Gas

Q. Please define renewable natural gas (RNG).

A. RNG is a biogas generated from the decomposition or gasification of renewable biomass. As stated in the United States Energy Information

Administration's Glossary, renewable energy resources are those that are naturally replenishing but are flow-limited. Renewable energy resources include biomass, hydro, geothermal, solar, wind, ocean thermal, wave action, and tidal action. Renewable biomass may occur at landfills, wastewater treatment plants, farms, or other sites, and can facilitate the conversion of organic matter into biogas. RNG supplies are those produced from renewable biomass, such as the gas product from landfills and anaerobic digesters, and therefore, are a renewable energy resource. Since RNG is created as a byproduct of decomposition, RNG is virtually inexhaustible over time but limited in the amount of energy that is available at any point in time. The biogas is then refined to remove non-methane compounds or particulate to meet gas pipeline quality standards.

Q. What are the benefits of RNG?

A. RNG sources could provide additional localized supply and pressure support, improving reliability within the distribution system. RNG interconnections can also directly support the

reliability of gas connections for Company customers because doing so can increase both the amount of gas available for the Company's capacity requirements and the diversity of the Company's gas resource portfolio. In addition, on-system supply reduces the costs, risks, and potential environmental impact associated with transporting traditional natural gas supply from hundreds of miles away. RNG sources also have the potential to reduce methane emissions, which would help to achieve the CLCPA's goals. Additionally, the Climate Action Council released its Final Scoping Plan on December 19, 2022, which outlined several recommendations and actions that may be taken to comply with the requirements of the CLCPA. On page 350, the Climate Action Council highlights the need to further study the use of RNG and recognizes that the State must explore whether full electrification of heating load in the near term is the most cost effective and technically feasible solution for all customers. Further, the Climate Action Council notes that alternative fuels may have a role in the

transition of the natural gas industry. The Climate Action Council's Final Scoping Plan, on page 361, also recognizes the role that renewable fuels may play "to meet customer needs for space heating or process use where electrification is not yet feasible or to decarbonize the gas system as it transitions." The Climate Action Council's recognition of renewable fuels as an important part in the transition to electrification pairs with the Company's need to address its capacity constraints.

Q. Are there any ratepayer risks associated with RNG?

A. RNG interconnections pose potential economic and operational risks to ratepayers. The economic uncertainty of the environmental attributes and tax incentives, which producers often utilize for funding, could prove detrimental to RNG production should such incentives no longer be available. If the availability of funding from these sources changes in the future, producers risk failing to meet facility costs, which may result in a slowdown or shutdown of an RNG

plant. Operationally, RNG must meet the gas quality standards as defined in Article 5 within the Company's Sales and Transportation Operating Procedures Manual. If the components of the biogas change, such as increased moisture or other constituents, it could force the facility to temporarily shut down.

Q. What is the Company proposing regarding RNG?

A. In the Company's Clean Energy Transition Panel initial testimony, page 56, the Company describes the potential interconnection of two renewable natural gas projects to its gas system within the next three years. Additionally, in the GIOP initial testimony, page 62, the Company states that in Case 19-G-0066 it was required to establish a standard interconnection process for RNG as part of its operating procedures. Under Con Edison's current gas rate plan, the Company's recovery of all costs necessary to interconnect local RNG supplies will be through the existing Monthly Rate Adjustment (MRA) surcharge, up to the cap of $10 million capital over the term of the Company's current gas rate plan. This allows the Company to file to

incorporate these costs into base rates in the Company's next gas rate filing.

Q. What capital investment does the Company propose for these RNG interconnection projects?

A. The Company currently has no new RNG interconnection project proposed in this rate proceeding.

Q. Has the Company integrated any RNG sources into its gas distribution system?

A. To date, there have been no RNG sources connected to the Company's gas distribution system.

Q. What does the Panel recommend?

A. We support the overall supply interconnections with RNG producers as proposed by the Company. However, we do not support ratepayer contribution toward the costs for RNG project interconnections. Our current understanding is that the available environmental attribute values provide a significant revenue source for the developers of RNG that can offset the forecasted interconnection costs. Therefore, we recommend that the Commission not allow the Company to recover RNG interconnection costs

through the MRA and that all interconnection costs be paid directly from developers and producers.

Q. Do you have any recommendations regarding the commodity cost of RNG?

A. Yes. We support the purchase and transportation of the physical RNG commodity at reasonable market-based prices relative to traditional gas supplies. For new RNG supply agreements, we recommend that the Commission limit the Company to recovering RNG commodity costs that are equal to or less than the average cost of gas for the Company's existing gas supply portfolio.

Q. Are there other concerns related to the RNG interconnections proposed in this proceeding?

A. Yes. We anticipate that there would be operating expenses associated with the operation and maintenance of the interconnection facilities. We recommend, similar to the capital costs, that the Commission require the Company to recover those operating expenses directly from the RNG developers or producers, and not from ratepayers.

Q. Are there concerns regarding the characteristics

of RNG?

A. Yes, RNG could cause integrity issues to the system and customer appliances. Therefore, the Company must ensure that the producer and/or developer complies with both the Company's Gas Transportation Operating Procedure and Federal Energy Regulatory Commission's gas quality standards.

Q. Does this conclude the Panel's testimony at this time?

A. Yes.